



Employee Handbook

– 2025 –

NATURE OF EMPLOYMENT	6
EQUAL EMPLOYMENT OPPORTUNITY	6
POLICY AGAINST HARASSMENT, DISCRIMINATION AND RETALIATION	7
POLICY CONCERNING VIOLENCE IN THE WORKPLACE	10
<i>Statement of Policy</i>	10
<i>Workplace Violence Defined</i>	10
<i>Reporting</i>	10
<i>Investigation</i>	10
<i>Corrective Action and Discipline</i>	10
EMPLOYMENT STATUS	11
CHANGE OF EMPLOYEE STATUS	11
HIRING	11
<i>New Hire Paperwork</i>	11
<i>Documentation of Employee's Right to Work</i>	12
<i>Employment of Relatives</i>	12
<i>Employment of Minors</i>	12
<i>Referring Applicants</i>	12
INTRODUCTORY PERIOD	13
TERMINATION, DISCIPLINE, AND RULES OF CONDUCT	13
<i>Voluntary Termination</i>	13
<i>Involuntary Termination</i>	13
<i>Termination Due to Reorganizations, Economics or Lack of Work</i>	13
<i>Discipline and Rules of Conduct Policy</i>	13
<i>Job Performance</i>	14
<i>Discipline Procedure</i>	15
<i>Exit Interview</i>	15
<i>Severance Pay</i>	15
<i>Employment at Will</i>	15
LAMONICA'S DOCUMENT RETENTION AND DESTRUCTION POLICY	15
<i>Maintenance of Employee Records</i>	16
<i>Destruction of Employee and Applicant Records</i>	16
<i>Litigation Hold</i>	16
<i>Retention of Terminated Employees' Records</i>	17
TIMEKEEPING	19
WORKING HOURS AND PAY	19
<i>Punctuality</i>	19
<i>Working Hours and Schedules</i>	19
<i>Meal Periods New York Employees</i>	19
<i>Meal and Rest Periods CA Employees</i>	20
<i>Overtime Definition and Rates of Pay</i>	21
<i>Involuntary Tip Pooling (Pizzeria Employees Only)</i>	21
<i>Business Hours</i>	22
<i>Pre-Authorization</i>	22
<i>Reporting Pay and Callback Pay (California Employees Only)</i>	22
<i>Call-In Pay, Split Shift Pay and Spread Time Pay (New York Employees Only)</i>	22
<i>Regular Pay Days</i>	22
<i>Payment on Resignation or Termination</i>	23
EMPLOYEE BONUS	23

Purpose	23
Scope	23
Audit Bonus	23
Lump Sum Performance Bonus	24
Lamonica's Good Worker and Safety Bonus Policy	24
SHIFT AND WEEKEND DIFFERENTIAL PAY POLICY	25
Differentials for Los Angeles and Sacramento Employees (Except Truck Drivers and Office Staff)	25
Differential for Deep Cleaning Employees Working in the Sacramento Factory	25
Differentials for Los Angeles and Sacramento Truck Drivers (Intrastate)	25
Differentials for Pizzeria Employees	26
Differential for New York Employees	26
Overtime	26
Compensation for Vacation, Sick Time and Holidays	26
Other Paid Leave	26
DRESS CODE	26
ATTENDANCE AND LATE POLICY	28
ABSENCE	28
BEING LATE	29
LEAVING WORK EARLY	29
NOT CLOCKING IN AND/OR OUT	29
NOTIFICATION PROCEDURES	29
OUR DISCIPLINE PROCESS	29
LATE	30
UNEXCUSED ABSENCES	30
MISSED CLOCK PUNCHES	30
SINGLE DAY OF NO CALL/ NO SHOW	30
INTRODUCTORY/PROBATION PERIOD	30
PERFORMANCE INDICATOR	30
EMPLOYEE BENEFITS	30
Health Insurance	31
Open Enrollment	31
Cash in Lieu of	32
Continuation of Benefits	32
Flexible Spending Accounts	32
Workers' Compensation Insurance	33
401K	33
Costco Memberships	34
PAID SICK TIME	34
Eligible Employees	34
Amount of Sick Time	34
Use of Sick Time	35
Requesting Sick Time	35
Compensation for Sick Time	36
Coordination of Sick Time With Other Benefits	36
Sick Time During Leaves of Absence	36
FAMILY CARE AND MEDICAL LEAVE POLICY	36
Eligibility	36
Permissible Uses of Family Care/Medical Leave	37
*See also Pregnancy-Related Disability Policy	38
Leave's Effect on Pay	38
Substitution of Accrued Paid Time Off for Family Care/Medical Leave	39
Leave's Effect on Benefits	40
Amount of Leave	40
Requesting Family Care/Medical Leave	41

Medical Certification	41
Reinstatement	41
Qualifying Exigency Leave	42
Pregnancy-Related Disability Leave For California Employees	44
NEW YORK PAID FAMILY LEAVE BENEFITS	46
OTHER DISABILITY LEAVES	48
OTHER LEGALLY REQUIRED LEAVES AND MILITARY OBLIGATIONS	51
OTHER TIME OFF	51
Time Off to Vote	51
Jury Duty	51
Bereavement Leave	52
Reproductive Loss Leave	52
School Appearance Leave	52
Unpaid School Activities Leave	52
PAID PARENTAL LEAVE	53
Purpose	53
Eligibility	53
Amount, Time Frame and Duration of Paid Parental Leave	54
Coordination with Other Policies	54
Requests for Paid Parental Leave	55
VACATION	55
Vacation Requests, Approval, And Scheduling	55
Blackout Periods	56
Accrual	56
Managers	56
Vacation Cap	57
Increments and Mandatory Vacation	Error! Bookmark not defined.
Rate of Pay	57
Leaves of Absence	57
Holidays	58
No Pay in Lieu of Vacation	58
HOLIDAY PAY	58
LACTATION ACCOMMODATION	58
Lactation Accommodation Request Process	59
RESOLUTION OF EMPLOYEE COMPLAINTS	59
SOLICITATION POLICY	60
DRUG-FREE WORKPLACE	60
Purpose of Policy	60
Definitions	60
Prohibited Conduct	61
Searches	61
Disciplinary Action	62
Use of Prescribed and Over-the-Counter Medications ("Legal Drugs")	62
Unregulated or Authorized Conduct	63
Confidentiality	63
Counseling/Employee Assistance	63
Drug Testing	63
PERSONNEL FILE	65
TELEPHONE, MAIL AND OTHER COMMUNICATION	66
Company Telephones	66
Personal Cellular Telephones	66
Company Cellular Phones	66
Cellular Phones While Driving	67
COMPANY TECHNOLOGY RESOURCES AND RIGHTS OF INSPECTION POLICY	67

DRIVING ON THE JOB _____	69
<i>Initial Clearance to Drive</i> _____	69
<i>Reimbursement</i> _____	69
<i>Car Insurance</i> _____	69
<i>Safety</i> _____	69
EXPENSE REIMBURSEMENT AND TRAVEL _____	70
<i>Cellular Telephones and Other Electronic Communication Devices</i> _____	70
<i>Home Internet Use</i> _____	70
<i>Business Use of a Personal Vehicle (For All Employees Except Westwood Pizza Delivery Drivers)</i> _____	70
<i>Business Use of a Personal Vehicle (Westwood Pizza Delivery Drivers)</i> _____	71
<i>Business Lunches and Dinners</i> _____	71
<i>Travel Time</i> _____	71
<i>Out-Of-Town Travel Expenses</i> _____	71
<i>Meals and Incidental Expenses</i> _____	73
<i>Documentation</i> _____	73
<i>Covered Expenses</i> _____	74
<i>First and Last Day of Travel</i> _____	74
<i>Free Meals and Legitimate Business Meals</i> _____	74
<i>Company Per Diem Rates</i> _____	74
<i>Payment of Travel Time for Non-Exempt Employees</i> _____	75
COMPANY PROPERTY, PERSONAL PROPERTY AND STORAGE _____	75
INFECTIOUS DISEASE CONTROL _____	76
<i>Purpose</i> _____	76
<i>Preventing the Spread of Infection in the Workplace</i> _____	76
<i>Limiting Travel</i> _____	76
<i>Telecommuting</i> _____	76
<i>Staying Home When Ill</i> _____	77
<i>Staying Home When Exposed to Infectious Disease</i> _____	77
<i>Requests for Medical Information and/or Documentation</i> _____	77
<i>Confidentiality of Medical Information</i> _____	77
<i>Outside activities</i> _____	78
ACKNOWLEDGMENT OF RECEIPT _____	78

Dear Employee,

Welcome!

This Handbook has been written to acquaint employees of Lamonica's Pizza Dough International Inc. and Lamonica's NY Pizza Company Inc. with their employer's personnel policies and benefits and to assist in understanding the employer's personnel policies and benefits. Depending on the location of your worksite, you are either employed by Lamonica's Pizza Dough International Inc. and Lamonica's NY Pizza Company Inc. The company that employs you will be referred to as "the Company" in this Handbook.

This Handbook is intended to explain in general terms those matters that most often apply to your day-to-day work activities. We have not tried to cover every possible situation. These statements are guidelines only, not hard and set rules, and are subject to change with or without notice. From time to time, the provisions of the policies may be subject to further review and clarification or revision. Thus, the policies, procedures or benefits described herein may be supplemented, discontinued or interpreted, as the Company believes to be necessary or appropriate. Notwithstanding the foregoing, the "at will" nature of your employment may only be altered in accordance with the provisions of the "Nature of Employment" section of this handbook. Similarly, in some cases, these guidelines allow for different treatment depending on an individual's circumstances. For these reasons, we urge you to check with the Personnel Office to obtain current information regarding the status of any particular policy, procedure or practice. These guidelines supersede and replace all previous personnel policies, practices and procedures.

Employees of the Company are expected to read this Handbook thoroughly upon receipt and to know and abide by the Company's policies outlined in this Handbook throughout their employment with the Company.

Throughout this Handbook, references will be made to the Company's Personnel Office. The Personnel Office is the Company's Los Angeles business office, located at 1066 Gayley Avenue, Los Angeles, California, 90024. The phone number of the Personnel Office is (310) 208-5535. This contact information is subject to change. Please ask your immediate for the current address and phone number of the Company's Personnel Office.

NATURE OF EMPLOYMENT

All employment at the Company is "at will." This means that both employees and the Company have the right to terminate employment at any time, with or without advance notice, with or without cause. Employees may also be demoted or disciplined, and the terms of their employment may be altered at any time, with us without cause, at the discretion of the Company. No one other than the President of the Company, John Lamonica, has the authority to alter this arrangement, to enter into an agreement for employment for a specified period of time, or to make any agreement contrary to this policy. Any such agreement, to be effective, must be in writing, must be signed by John Lamonica and by the affected employee, and must express a clear and unambiguous intent to alter the at-will nature of the employment relationship.

EQUAL EMPLOYMENT OPPORTUNITY

It is the Company's policy to provide equal employment opportunity for all applicants and employees. The Company does not unlawfully discriminate on the basis of race, color, religion, sex (including pregnancy, childbirth or related medical conditions), national origin, ancestry, age, physical disability, mental disability,

marital status, sexual orientation, legally-protected medical condition, genetic predisposition or carrier status, creed, or any other characteristic protected by applicable state or federal law.

When necessary, the Company also makes reasonable accommodations for disabled employees and for pregnant employees who request an accommodation for pregnancy, childbirth, or related medical conditions.

Furthermore, the Company prohibits the harassment of any individual on any of the bases listed above. For information about the types of conduct that constitute impermissible harassment, or the Company's internal procedures for addressing complaints of harassment, please refer to the Company's "Policy Against Harassment" set forth in this Handbook.

This policy governs all aspects of employment, including hiring, job assignment, compensation, promotion, discipline, termination, and access to benefits and training. It is the responsibility of every supervisor and employee to conscientiously follow this policy. Any employees with questions or concerns about any type of discrimination in the workplace are encouraged to bring these issues to the attention of their immediate supervisor or the Personnel Office.

POLICY AGAINST HARASSMENT, DISCRIMINATION AND RETALIATION

Lamonica's Pizza Dough International, Inc. and Lamonica's NY Pizza Co., Inc. ("Lamonica's") are committed to providing a workplace free of discrimination and harassment based on race, color, religion, religious dress, religious grooming, hair style and hair texture, sex (including perceived pregnancy, pregnancy, childbirth or related medical conditions), breastfeeding or related conditions, gender, gender identity, gender expression, national origin, ancestry, citizenship, age (over 40), sexual orientation, military status, veteran status, marital status, domestic partner status, mental or physical disability, legally-protected medical condition or information, genetic information, family care or medical leave status, military caregiver status, status as a victim of domestic violence, sexual assault or stalking, citizenship or immigration status enrollment in a public assistance program or any other basis protected by international, federal, state or local law.

This policy not only prohibits Lamonica's managers, supervisors and co-workers from engaging in discriminating or harassing conduct towards Lamonica's employees, it also prohibits employees from engaging in discriminatory or harassing acts towards non-employees with whom Lamonica's has a business, service, or professional relationship, such as applicants, unpaid interns, volunteers, contractors or vendors. Lamonica's also will not tolerate discriminatory or harassing conduct toward applicants, unpaid interns, volunteers, employees or contractors by third parties.

Any form of sexual harassment or other harassment or discrimination is strictly prohibited. This policy not only prohibits actions that are severe enough to be unlawful, but also conduct that is not severe enough to be unlawful but is inappropriate in Lamonica's workplace.

Harassing conduct includes verbal, physical, and visual conduct based on an individual's protected status that creates an intimidating, offensive, or hostile working environment or that interferes with an employee's work performance. Such conduct constitutes harassing conduct when (1) submission to the conduct is made either an explicit or implicit condition of employment; (2) submission or rejection of the conduct is used as the basis for an employment decision; or (3) the harassing conduct interferes with an employee's work performance or creates an intimidating, hostile, or offensive work environment.

Examples of prohibited harassment include, but are not limited to:

- Unwelcome verbal conduct because of a protected status listed above, such as derogatory or discriminatory words, comments, slurs, taunts, jokes, teasing or epithets;
- Unwelcome visual conduct because of a protected status listed above, such as making or using derogatory or discriminatory gestures, displaying derogatory or discriminatory objects, pictures, posters or cartoons, or giving, sending, displaying or circulating derogatory or discriminatory objects, documents, letters, e-mail messages or voicemail messages; and
- Unwelcome physical conduct because of a protected status listed above, such as assault, impeding or blocking another's movement or otherwise physically interfering with normal work.

Examples of prohibited sexual harassment include, but are not limited to:

- Offering employment benefits, such as favorable assignments, positive reviews, promotions or the like, in exchange for sexual favors;
- Denying or threatening to deny employment benefits for rejecting sexual advances;
- Unwanted sexual advances, requests for sexual favors, propositions, flirtations or repeated unwanted requests for or efforts to make social contact;
- Unwelcome verbal conduct of a sexual nature or because of sex, such as whistling, using sexually degrading, vulgar or sexually explicit words to describe an individual, making comments about an individual's body, discussing sexual activity, or making sexual comments or jokes;
- Unwelcome visual conduct of a sexual nature or because of sex, such as staring, leering, displaying sexually suggestive or vulgar objects, pictures, posters or cartoons, accessing sexually suggestive or vulgar websites or chat rooms, making sexual or obscene gestures, or giving, sending or circulating sexual or obscene documents, letters, e-mail messages, voicemail messages, gifts, notes or invitations; and
- Unwelcome physical conduct of a sexual nature or because of sex, such as touching, patting, pinching, brushing the body, or impeding or blocking an individual's movement.

Sexual harassment is prohibited regardless of whether the persons involved are members of the opposite sex or the same sex, and sexual harassment does not need to be motivated by sexual desire. Lamonica's will provide all California employees with a copy of the brochure "Sexual Harassment: The Facts About Sexual Harassment" and all New York employees with a copy of the brochure Sexual Harassment in The Workplace: Know Your Rights, to provide additional information regarding their rights under the law.

Lamonica's will not tolerate retaliation against any employee because he or she has made a good faith complaint about possible prohibited harassment or discrimination, opposed conduct that he or she reasonably believes constitutes prohibited harassment or discrimination, or has cooperated in an investigation, proceeding, or hearing about possible prohibited harassment or discrimination. Retaliation includes taking any adverse action or threatening to take adverse action against someone who has engaged in conduct protected by this policy or the law.

If you have any questions or concerns regarding this Policy Against Harassment, Discrimination and Retaliation or whether certain conduct is prohibited by this policy, you are encouraged to bring these issues to the attention of Lamonica's Human Resources department.

Discrimination, Retaliation, and Harassment Complaints

Lamonica's encourages employees to report all incidents of discrimination, harassment or retaliation, regardless of who the offender may be. Lamonica's encourages prompt reporting of discrimination, harassment or retaliation complaints so that appropriate action may be taken.

If you believe that you are being subject to discrimination or harassment, Lamonica's encourages you to firmly and promptly notify the person engaging in the conduct that his or her behavior is unwelcome, and persons so advised must immediately cease the conduct that is unwelcome.

Lamonica's recognizes, however, that you may not feel comfortable confronting the person engaging in the unwelcome behavior, and you are not obligated under this policy to discuss the issue with the person engaging in that behavior.

If you believe that you have been subjected to discrimination, harassment or retaliation of any kind, you must promptly make an oral or written complaint to your immediate supervisor, the supervisor in charge of your department, or Human Resources. You are not required to report a complaint to your immediate supervisor or any of the foregoing individuals if that individual is the person who is engaging in the conduct, but you instead may report the conduct to any other supervisor or manager.

If you become aware of discrimination, harassment or retaliation of any kind engaged in or suffered by another employee, you should notify a supervisor or Human Resources regardless of whether such discrimination, harassment, or retaliation directly affects you.

Supervisors who learn of possible harassment or discrimination of an employee must immediately notify Human Resources so that an investigation may be initiated and Lamonica's can try to resolve the issue internally. Failure to do so may subject the supervisor to disciplinary action, up to and including termination from employment.

Every complaint reported under this policy will be responded to in a timely fashion. Lamonica's will assign qualified personnel to conduct an impartial, fair, thorough and timely investigation that provides all parties appropriate due process and reaches reasonable conclusions based on the evidence collected. All complaints will be documented and tracked to ensure reasonable progress is made, and that the investigation will be closed in a timely manner. Lamonica's will attempt to keep complaints made under this policy and any resulting investigation confidential to the extent possible, consistent with applicable law. However, in the course of an investigation and/or in resolving the matter, some dissemination of information to others may be necessary, appropriate, and/or required by law.

If at the end of the investigation misconduct is found in violation of this policy, Lamonica's will take appropriate remedial and corrective action. Such action may include, for example, training, referral to counseling, or disciplinary action ranging from an oral warning to immediate termination of employment, depending on the circumstances.

Lamonica's will not tolerate retaliation against any employee for making a good faith complaint of harassment, discrimination or retaliation or for cooperating in an investigation. Retaliation is a serious violation of this

policy and should be reported immediately in the same manner as complaints of discrimination or harassment. Any person found to have retaliated against another individual for reporting discrimination, harassment or retaliation will be subject to the same disciplinary action described above.

POLICY CONCERNING VIOLENCE IN THE WORKPLACE

Statement of Policy

The Company is committed to providing a safe, violence-free workplace and strictly prohibits employees, consultants, customers, visitors, or anyone else on Company premises or engaging in a Company-related activity from behaving in a violent or threatening manner. The Company seeks to prevent workplace violence before it begins and reserves the right to deal with employee behavior that suggests a propensity towards violence. The Company believes that prevention of workplace violence begins with recognition and awareness of potential early warning signs and has established procedures for responding to any situation that presents the possibility of violence.

Workplace Violence Defined

Workplace violence includes threats of any kind; threatening, physically aggressive, or violent behavior, such as intimidation, or attempts to instill fear in others; other behavior that suggests a propensity toward violence, including belligerent speech, excessive arguing or swearing, sabotage, threats of sabotage of Company property; defacing Company property or causing physical damage to the facilities; and, with the exception of security personnel, bringing weapons or firearms of any kind on Company premises, in Company parking lots, or while conducting Company business.

Reporting

If any employee observes or becomes aware of any of the above-listed actions or behavior by an employee, customer, consultant, visitor, or anyone else, he or she must notify the supervisor immediately. Further, employees should notify the supervisor and the Personnel Office if any restraining order is in effect, or if a potentially violent network-related situation exists that could result in violence in the workplace.

Investigation

All reports of workplace violence will be taken seriously and will be investigated promptly and thoroughly. In appropriate circumstances, the Company will inform the reporting individual of the results of the investigation. To the extent feasible, the Company will maintain the confidentiality of the reporting employee. However, the Company may need to disclose results in appropriate circumstances (for example, in order to protect individual safety). The Company will not tolerate retaliation against any employee who reports workplace violence.

Corrective Action and Discipline

If the Company determines that workplace violence has occurred, the Company will take appropriate corrective action and may impose discipline on offending employees, up to and including termination. The employee's duties may also be altered. The Company may request that the employee participate in counseling, either voluntarily or as a condition of continued employment.

EMPLOYMENT STATUS

It is the intent of the Company to clarify the definitions of employment classifications so that employees understand their employment status and benefit eligibility.

Each employee is designated as either "nonexempt" or "exempt" from federal and state wage and hour laws. "Nonexempt" employees are entitled to overtime pay under the specific provisions of federal and state laws. "Exempt" employees are excluded from specific provisions of federal and state wage and hour laws by the nature of their job duties.

In addition to the above categories, each employee will belong to one other employment category.

Introductory Period: During the first 180 days of employment with the Company, employees are within their introductory period. At the Company's discretion, the introductory period may be extended one or more times.

Regular Full-Time Employees: Regular full-time employees are those employees who are not in a temporary or introductory status and who are regularly scheduled to work the Company's full-time schedule. Generally, they are eligible for the employment benefits provided by the Company, subject to the terms, conditions, and limitations of each benefit program.

Regular Part-Time Employees: Regular part-time employees are those employees who are not assigned to temporary or introductory status and who are regularly scheduled to work less than the full-time work schedule. While part-time employees receive all legally mandated benefits (such as Social Security and workers' compensation insurance), they are ineligible for all of the Company's other employment benefit programs.

Temporary Employees: Temporary employees are those employees who are hired as interim replacements, to temporarily supplement the work force, or to assist in the completion of a specific project. Employment assignments in this category are of a limited duration. While temporary employees receive all legally mandated benefits (such as workers' compensation insurance and Social Security), they are ineligible for all of the Company's other employment benefit programs.

An employee will not automatically change from part-time or temporary to any other status merely by working in excess of the period originally expected or designated. Such a change from a temporary to a regular employee status, or from part-time to a full-time status will be effective only if such employee has been advised of the status change by the Personnel Office. Temporary or Regular Part-Time employees who are offered Regular Full-Time positions are considered new hires as of the conversion date for the purpose of benefit calculation.

CHANGE OF EMPLOYEE STATUS

An employee is responsible for notifying the Personnel Office about changes in the employee's personal information and changes affecting the employee's status (for example, name change, address or telephone number change, etc.). This notification by the employee must occur as close to the change as possible, but no later than 30 days following the change.

HIRING

New Hire Paperwork

All new employees must complete or provide the following paperwork:

- Documentation of employee's right to work (see below);
- Tax forms.
- Department of Motor Vehicles driver's report and a copy of the employee's driver's license (for drivers only).

Documentation of Employee's Right to Work

The Company is committed to employing only United States citizens and aliens who are authorized to work in the United States and does not unlawfully discriminate on the basis of citizenship or national origin.

In compliance with the Immigration Reform and Control Act of 1986, each new employee, as a condition of employment, must complete the Employment Eligibility Verification Form I-9 and present proper documentation establishing identity and employment eligibility. Such documentation must be presented by the employee within 3 business days of hire, or on the first day of any employment that is less than 3 business days from the hire date.

Employees with general questions or seeking general information on immigration law issues are encouraged to contact the Personnel Office. Employees may raise questions or good faith complaints about immigration law compliance without fear of reprisal.

Employment of Relatives

Relatives of present employees may be hired by the Company only if (1) the current employee and their relative will not work in a direct supervisory relationship, and (2) the employment will not pose difficulties for supervision, security, safety, or morale. "Relative" is defined to include any person who is related by blood, adoption or marriage, or whose relationship with the employee is similar to that of persons who are related by blood, adoption or marriage. This policy also applies to individuals who are not legally related, but who reside with an employee.

Present employees who marry or who become related by marriage will be permitted to continue employment with the Company only if they do not work in a direct supervisory relationship with one another or otherwise pose difficulties for supervision, security, safety, or morale. If employees who marry, or who become related by marriage, do work in a direct supervisory relationship with one another, the Company will attempt to reassign one of the employees to another position for which he or she is qualified, if such a position is available and if such a reassignment is feasible. If no such position is available, then one of the employees may be asked to leave the Company. The decision as to which employee will leave is left solely to the employees.

Employment of Minors

As a general rule, all employees must be at least 18 years of age. Employees may be asked to provide proof that they are at least 18 years old. Minors will be employed only as an exception to this rule, and each such employment shall be subject to the applicable provisions of the law. Minors will only be employed under special conditions, and their employment will be approved on a case-by-case basis by the Personnel Office.

Referring Applicants

The Company encourages employee recommendations/referrals of candidates for employment at Lamonica's. All employees should direct their referrals to a member of the Human Resources department. If an individual referred to the Company by a current Lamonica's employee is hired by the Company and remains employed with the Company for at least six months, on or shortly after the referred employee's six-month anniversary with the Company, the referring employee will be given a \$250.00 Costco gift card.

INTRODUCTORY PERIOD

The Company attempts to hire the most qualified employees for each position at the Company. To ensure this, the Company provides for an introductory period of employment for the employee to assess the Company and the job content, and for the Company to evaluate the new employee and his or her job performance. All new employees must complete to the Company's satisfaction a 180-day introductory period beginning with the date of initial employment. During the introductory period (or at any other point), an employee may be discharged by the Company for any reason and without advance notice. Similarly, the employee may resign employment for any reason without advance notice during this period (or at any other point).

Employees are not eligible for and do not earn benefits during the introductory period. On successful completion of the introductory period, an employee will ordinarily become a regular employee. Successful completion of the introductory period does not, however, guarantee employment for any specific duration or change the at-will status of regular employment.

TERMINATION, DISCIPLINE, AND RULES OF CONDUCT

Voluntary Termination

The Company will consider an employee to have voluntarily terminated his or her employment if an employee does any of the following:

- (1) Elects to resign from the Company (the Company requests that you provide at least 2 weeks' notice in advance of your departure date);
- (2) Fails to return from an approved leave of absence on the date specified by the Company; or
- (3) Fails to report for work without notice to the Company for 3 consecutive days.

Involuntary Termination

An employee may be terminated involuntarily for reasons that may include poor performance, misconduct or other violations of the Company's rules of conduct as set forth below. Notwithstanding this list of rules or anything else contained in this Handbook, the Company reserves the right to discharge any employee with or without cause and with or without prior notice.

Termination Due to Reorganizations, Economics or Lack of Work

From time to time, the Company may terminate an employee or employees' employment as a consequence of reorganizations, job eliminations, and economic downturns in business or lack of work. Should the Company consider such terminations appropriate, the Company will attempt to provide affected employees with advance notice, when practical.

Discipline and Rules of Conduct Policy

Employees are expected to observe certain standards of job performance and good conduct. When performance or conduct does not meet the Company standards, the Company may endeavor when it deems appropriate to provide the employee a reasonable opportunity to correct the deficiency. If such opportunity is provided, however, and the employee fails to make the correction, he or she will be subject to discipline including termination. The rules set forth below are intended to provide employees with notice of what is expected of them. Necessarily, however, such rules cannot identify every type of unacceptable conduct and performance. The following list of factors is intended to set out certain limited examples and is not intended to be exclusive. Therefore, employees should be aware that conduct not specifically listed below but which adversely affects or is otherwise detrimental or potentially detrimental to the interests of the Company, other employees or customers, may also result in disciplinary action.

Job Performance

Employees may be disciplined for poor job performance or misconduct, including but not limited to the following:

- Interference with, insubordination, or refusal to obey any supervisor or other duly constituted authority;
- Altering or mutilating any timecard or punching the timecard of another employee;
- Falsifying or concealing information on an employment application, time record or other Company record;
- Willfully or maliciously making false statements regarding any co-worker, the Company, or any of the Company's services, or making threats or using abusive language toward fellow employees, supervisors, customers, or visitors;
- Theft from the Company, the Company's employees, the Company's customers or anyone on Company property or during working time; unauthorized use, possession, alteration or transfer of Company supplies or other Company resources; or removing any Company property, records, or documents from the workplace without authorization from the employee's immediate supervisor;
- Possessing weapons or explosives of any sort on Company property at any time or while conducting Company business;
- Violation of the Company's non-discrimination and non-harassment policy;
- Unreliable attendance or punctuality;
- Failure to promptly inform supervisor when unable to report for work;
- Negligence or inefficiency in performance of duties, including failure to maintain standards of workmanship or productivity;
- Disorderly conduct on Company premises or during working time, such as fighting, practical jokes, or horseplay;
- Wasting time or sleeping during working hours;
- Unauthorized use of telephones for personal business;
- Leaving Company premises during working hours without permission of the employee's immediate supervisor;
- Misrepresentation of information in connection with any leave of absence from work or application for or use of a Company benefit;
- Deliberate restriction of work output;
- Setting false fire alarms or security alarms;
- Rudeness to customers or excessive socializing with customers or fellow employees;
- Improper cash handling;
- Damaging or defacing Company's property; abuse of tools, equipment; or wasting materials;
- Failure to start work promptly at start of shift, meal period, and end of rest periods;

- Absence from regular workstation without authorization;
- Driving for the Company without insurance.
- Failure to wear proper attire including safety equipment;
- Working unauthorized overtime;
- Failure to attend mandatory staff meetings;
- Failure to follow established safety regulations;
- Any act or acts, which cause the Company to be unable to invest the amount of trust or confidence required to continue employment;
- Violation of any other published rule of the Company.

Discipline Procedure

Discharge for poor performance may be preceded by an oral warning and/or a written warning. However, the Company reserves the right to proceed directly to termination, without resorting to prior disciplinary steps, when the Company deems such action appropriate. Employees receiving a written warning will be required to sign the warning as acknowledgment of receipt.

Exit Interview

Employees who leave the Company for any reason may be asked to participate in an exit interview. This interview is intended to permit terminating employees the opportunity to communicate their views regarding their work with the Company, including job duties, job training, job supervision and job benefits. At the time of the interview, employees are expected to return all Company-furnished property, such as uniforms, tools, equipment, I.D. cards, keys, credit cards, documents and handbooks. Arrangements for clearing outstanding debts with the Company and for receiving final pay also will be made at this time.

Severance Pay

The Company does not grant severance pay to employees. However, the Company reserves the right to make exceptions to this policy.

Employment at Will

Nothing in this Termination, Discipline, and Rules of Conduct policy is intended to alter the employee's at-will status of employment with the Company. In addition, no disciplinary procedure or progressive disciplinary process implemented by the Company at any time pursuant to this policy is intended to alter the at-will status of employment with the Company. Either the employee or the Company may terminate the employment relationship at any time with or without cause and with or without prior notice. The Company reserves the right to terminate any employment relationship, to demote, or to otherwise discipline an employee without resorting to the above disciplinary procedures

LAMONICA'S DOCUMENT RETENTION AND DESTRUCTION POLICY

The human resources (HR) department retains and destroys personnel records in accordance with Lamonica's corporate policies on business records retention, as well as federal and state laws governing record retention. Below is an outline of the HR department's operating procedures for personnel record retention and destruction of documents when such retention periods have passed. If Lamonica's retention procedure is not of sufficient

duration for any state in which the company does business, this procedure will be superseded by state requirements.

The HR department maintains both employee record information and government compliance reports. Both are subject to the following retention requirements and destruction procedures.

Maintenance of Employee Records

The following employee information records are maintained in segregated personnel files:

- 1) Pre-employment testing results and background check information.
- 2) I-9 forms.
- 3) Benefits plan and employee medical records.
- 4) Health and safety records.
- 5) General employee personnel records.

Government compliance reports are maintained in reverse chronological sequence and filed separately from the above employee information records.

Destruction of Employee and Applicant Records

All paper personnel records and confidential employee data maintained by the HR department will be destroyed by shredding after retention dates have passed; this procedure pertains to all personnel records, not just those governed by the Fair and Accurate Credit Transactions Act (FACTA).

Employment application materials submitted by applicants who were never employed are also to be shredded.

When a confidential record must be discarded or destroyed, it shall be marked as confidential and given to the HR Department to be destroyed in accordance with the record destruction policies. Alternatively, hardcopy confidential records may be shredded using a locked shredder on Lamonica's premises. In the case of remote employees, employees are discouraged from printing out or creating hard copies of confidential records where possible. If hard copies must be printed, created or kept, they should be stored in a locked cabinet, drawer or other secure location until they are no longer needed, or until the maximum retention period has ended. Remote employees must then destroy all confidential files by shredding them in a locked shredder on Lamonica's premises, or otherwise rendering the documents unusable or unreadable.

Personnel records include electronic as well as paper records. The HR department will work with the IT department periodically but no less than twice annually to review and ensure that the HR department's electronic records relating to employee information and compliance reports are properly purged.

Litigation Hold

When Lamonica's is involved in or anticipates that it may be involved in litigation, the General Counsel's office will issue a litigation hold. This means that all documents relating to the litigation matter must be kept in order to preserve any potential evidence. If we fail to do so, Lamonica's can be sanctioned by the court for destroying evidence. A court has broad authority to impose these sanctions, which may include anything from unfavorable procedural rulings during a trial to payment of monetary damages.

In the event that Lamonica's General Counsel announces a litigation hold on any or all Lamonica's records as a result of pending or anticipated litigation, all records covered by such litigation hold **MUST NOT** be discarded, deleted or destroyed. Further, the IT department will suspend the automatic deletion of emails for all individuals covered by the litigation hold. Any questions about the litigation should be directed to the General Counsel.

Retention of Terminated Employees' Records

Record Types and Retention Periods

Health & Benefits Records	
Health & Benefits Beneficiary Forms	Termination + 4 yrs.
Medical, Dental/Vision Plan Elections	Termination + 4 yrs.
Drug Test Results	Termination + 4 yrs.
Education Assistance Program Records	Termination + 4 yrs.
FMLA Leave Reports	Termination + 4 yrs.
USERRA Leave Records	Permanent
Toxic & Bloodborne Pathogens Records	Termination + 30 yrs.
Job Related Injuries & Illnesses Records	Termination + 5 yrs.
Reasonable Accommodation Records	Termination + 4 yrs.
Pre-Employment/Employment Documents*	
Job Description	Termination + 4 yrs.
Position Requisition	Termination + 4 yrs.
Recruitment Notice/Job Ads	Termination + 4 yrs.
Employment Application/Resume	Termination + 4 yrs.
Interview Evaluation	Termination + 4 yrs.
Assessment Results	Termination + 4 yrs.
Background Check Information	Termination + 4 yrs.
References/Verifications	Termination + 4 yrs.
New-Hire Action Form	Termination + 4 yrs.
Offer Letter	Termination + 4 yrs.
Form I-9	Termination + 4 yrs.
EEO Data Form	Termination + 4 yrs.
Employee Policy Acknowledgements	Termination + 4 yrs.
Conflict of Interest Statement	Termination + 4 yrs.
Intellectual Property Ownership/Nondisclosure	Termination + 5 yrs.
Employee Change Action Documents	Termination + 4 yrs.
Disciplinary Records	Termination + 4 yrs.
Employee Development Records	Termination + 4 yrs.
Position/Pay History Records	Termination + 4 yrs.
Employee Performance Reviews	Termination + 4 yrs.
International Assignment Documents	Termination + 4 yrs.
Relocation Agreement	Termination + 4 yrs.

Resignation Letter	Termination + 4 yrs.
Termination Action Form	Termination + 4 yrs.
COBRA Election Notice	Termination + 4 yrs.
Separation Agreement	Termination + 5 yrs.
Exit Interview Form	Termination + 4 yrs.
Unemployment Claim Records	Termination + 4 yrs.
* <i>Note:</i> If an applicant is ultimately not hired, the above records should be retained for four (4) years after the no-hire decision is made.	
Retirement	
401(k) Allocation Records	Termination + 4 yrs.
401(k) Loan Payment Forms	Termination + 4 yrs.
Pension Eligibility Records	Termination + 50 yrs.
Request for Calculation	Termination + 4 yrs.
Retirement Beneficiary Form	Termination + 50 yrs.
Payroll/Tax	
Paychecks/stubs, W-2s, W-4s	4 yrs.
Earnings Register	4 yrs.
Employee Withholding	4 yrs.
Expense Reports	4 yrs.
Federal & State Payroll Tax Forms	4 yrs.
Federal Forms 1099	4 yrs.
Time Sheets/Cards	4 yrs.
Other Payroll Records	
Computer Loan Agreement	Termination + 5 yrs.
Direct Deposit Records	Termination + 4 yrs.
Garnishment Records	Termination + 4 yrs.
Final Payroll Deduction Checklist	Termination + 4 yrs.
HR Policies & Reports	
EEO-1 Reports	Permanent
HR Policies	While current + 4 yrs.
State New-Hire Reports	4 yrs.
Affirmative Action Plans/Records	5 yrs.
Form 5500	6 yrs.
OSHA 300/300A	Posting date + 5 yrs.
VETS-4212 Reports	5 yrs.
Lamonica's Anonymous Ethics Reports*	4 yrs.
* <i>Note:</i> If a Lamonica's ethics report is related to an employee disciplinary matter or other type of record listed herein, then staff should follow the retention period for that particular type of record.	

TIMEKEEPING

Federal and state laws require the Company keep accurate records of time worked in order to calculate employee pay and benefits. Time worked is all the time actually spent on the job performing assigned duties.

Nonexempt employees should accurately record the time they begin and end their work, as well as the beginning and ending time of each meal period. They should also record the beginning and ending time of any split shift or departure from work for personal reasons. Overtime work must always be approved before it is performed.

Altering, falsifying, tampering with time records or recording time on another employee's time record will result in disciplinary action, up to and including termination of employment. If an employee thinks that corrections or modifications should be made to that employee's time record, the employee should notify his or her supervisor as soon as possible.

WORKING HOURS AND PAY

Punctuality

All employees are expected to be clocked in and at their workstation by their scheduled time.

Working Hours and Schedules

Working hours of each Company location are different based on the individual needs of the location. The supervisor will ordinarily post the work schedule every week. Each day that an employee reports to work, he or she is responsible for checking the schedule for any changes in his or her schedule.

Meal Periods New York Employees

For New York non-exempt (hourly) employees, on any day when an employee works six (6) or more hours, the employee is authorized and required to take a paid meal period for sixty (60) minutes. If the employee's work day will not exceed six (6) hours on a particular day, he or she may mutually agree with the Company to waive the meal period for that day. Any such waiver must be in writing and must be approved by Human Resources. Unless there is a written waiver or other circumstance approved by Human Resources, no employee who works six (6) or more hours in a day may skip a meal period. The meal period shall be taken "midway" in the employee's shift.

On any day when an employee's shift begins before 11:00 a.m. and ends after 7:00 p.m., the employee is authorized and required to take an unpaid meal period for twenty (20) minutes that shall be taken between 5:00 p.m. and 7:00 p.m.

Non-exempt (hourly) employees must clock out at the beginning of their meal periods and clock back in upon completion of their meal periods. An employee may not clock back in from a first meal period prior to sixty (60) minutes after he or she clocked out for the first meal period. An employee may not clock back in from a second meal period prior to twenty (20) minutes after he or she clocked out for the second meal period.

Supervisors will schedule or approve the timing of employee meal periods, and employees may not change the timing of their meal periods without their supervisor's prior approval.

Employees are entitled, encouraged and expected to take all meal periods under this policy that are not voluntarily waived. Employees must not perform any work or work-related activities during their meal periods, and they are not subject to being called back to work. During meal periods, Lamonica's will relieve employees of all duties, will not interrupt or impede employees, and will relinquish all control over employee's activities. Employees are free to spend their meal period time as they choose and are free to leave the worksite. Nonexempt (hourly) employees are not permitted, and should not ask, to work through their meal periods so that they can either come in late or leave early.

No supervisor or manager has the authority to deny or impede an employee's right to take meal periods or discourage an employee from taking meal periods. Employees must immediately contact Human Resources if they are ever denied their meal periods, or if they otherwise feel impeded, discouraged or pressured by any supervisor or manager to not take meal periods.

An employee who violates this policy may be subject to discipline, up to and including immediate termination of employment.

Meal and Rest Periods CA Employees

The Company provides employees with meal and rest periods according to applicable laws.

For California non-exempt (hourly) employees, on any day when an employee works five (5) or more hours, the employee is authorized and required to take an unpaid meal period for thirty (30) minutes. However, if the employee's workday will not exceed six (6) hours on a particular day, he or she may mutually agree with the Company to waive the meal period for that day. Any such waiver must be in writing and must be approved by Human Resources. Unless there is a written waiver or other circumstance approved by Human Resources, no employee who works five (5) or more hours in a day may skip a meal period. The meal period generally should be taken in approximately the middle of an employee's workday. The meal period must begin no more than five (5) hours after the start of the employee's shift.

If a non-exempt (hourly) employee will work in excess of ten (10) hours in a day (excluding unpaid meal periods), the employee is authorized and required to take a second meal period for thirty (30) minutes. However, if the employee's hours of work on any day will not exceed twelve (12) hours, and he or she has taken a first meal period, the employee may mutually agree with the Company to waive the second meal period for that day. Any such waiver must be in writing and must be approved by Human Resources. The second meal period must begin no more than ten (10) hours after the start of the employee's shift. Unless there is a written waiver or other circumstance approved by Human Resources, no employee who works ten (10) or more hours in a day may skip a second meal period.

Non-exempt (hourly) employees must clock out at the beginning of their meal periods and clock back in upon completion of their meal periods. An employee may not clock back in from a meal period prior to thirty (30) minutes after he or she clocked out for the meal period.

Each non-exempt (hourly) employee is authorized and permitted to take a 10-15 minute rest period for every four (4) hours worked or major portion thereof. More specifically, non-exempt employees may take a 10-15 minute rest period for shifts lasting from 3 1/2 to 6 hours; two 10-15 minute rest periods for shifts lasting 6 to 10 hours; and three 10-15 minute rest periods for shifts lasting 10 to 14 hours, and so on. Generally, rest periods will be provided in the middle of each 4-hour work period, so far as practical. Rest periods may not be combined, added to a meal period nor taken at the start or end of a shift in order to report late or leave early. Employees who work

fewer than 3 1/2 hours in a day are not entitled to a rest period. Rest periods are paid and are counted as hours worked for all purposes.

To the extent feasible, rest periods should be taken so that one falls before, and one falls after the meal period. For example, employees working an 8-hour shift generally should take their first rest period before, and the second rest period after, the meal period. Unusual or exceptional circumstances may require variations from the foregoing scheduling.

Supervisors will schedule or approve the timing of employee meal and rest periods, and employees may not change the timing of their meal and rest periods without their supervisor's prior approval.

Employees are entitled to, encouraged and expected to take all meal periods under this policy that are not voluntarily waived and all rest periods. Employees must not perform any work or work-related activities during their meal and rest periods, and they are not subject to being called back to work. During meal and rest periods, Lamonica's will relieve employees of all duties, will not interrupt or impede employees, and will relinquish all control over employee's activities. Employees are free to spend their meal and rest period time as they choose and are free to leave the worksite. Nonexempt (hourly) employees are not permitted, and should not ask, to work through their meal or rest periods so that they can either come in late or leave early.

No supervisor or manager has the authority to deny or impede an employee's right to take meal or rest periods or discourage an employee from taking meal or rest periods. Employees must immediately contact Human Resources if they are ever denied their meal periods or rest periods, or if they otherwise feel impeded, discouraged or pressured by any supervisor or manager to not take meal or rest periods.

An employee who violates this policy may be subject to discipline, up to and including immediate termination of employment.

Overtime Definition and Rates of Pay

For purposes of the Company's overtime policy, salaried employees who work in positions considered ineligible for overtime by state and federal law are deemed to be "exempt" employees. All other employees are deemed to be "non-exempt" employees and are entitled to overtime compensation. Non-exempt employees are not permitted to work overtime without prior authorization from their supervisors. Exempt employees are not entitled to overtime compensation.

Overtime will be computed on actual time worked. Only those hours that are actually worked are added together to determine an employee's overtime pay.

For more information regarding overtime rates, contact your supervisor or the Personnel Office, or consult the wage and hour notices posted in your workplace.

Involuntary Tip Pooling (Pizzeria Employees Only)

Lamonica's pizza delivery drivers must share 10% of all tips collected that are paid by customer credit card with all pizzeria employees who are in the "chain of service" to the customer. Accordingly, 10% of all pizza delivery drivers' tips which are charged to a credit card will be shared equally among the following employees: Delivery Drivers, Line Cooks, Cook Preps, and Cashier/Servers.

No supervisor or manager is eligible to receive any share in the tip pool.

It is the policy of Lamonica's to comply with federal and state tax laws requiring all tips/gratuities to be reported.

Business Hours

Effective October 8, 2018, the Company's work week will begin on Tuesday at 12:00 a.m. and end at 11:59 p.m. on the following Monday. The Company's workday will begin at 12:00 a.m. and end at 11:59 p.m.

Various factors, such as workloads, operational efficiency and staffing needs, may require variations in an employee's starting and quitting times and total hours worked each day or each week. The Company reserves the right to assign an employee to jobs other than the employee's usual assignments, when required. In addition, an employee may be required to work overtime or hours other than those normally scheduled, whenever necessary.

Pre-Authorization

No nonexempt employee may work overtime without the express, prior approval of his or her supervisor. Unauthorized overtime is against Company policy and may result in disciplinary action up to and including termination.

Reporting Pay and Callback Pay (California Employees Only)

Each day that a nonexempt California employee is required to report for work and does report but is not put to work or is furnished less than half of the employee's scheduled day's work, the employee will be paid for half of the scheduled day's work. The employee will be paid for at least 2 hours, but no more than 4 hours at the employee's regular rate of pay in such instance. An employee will not receive reporting pay, however, if the reasons for lack of work are beyond the Company's control. Reporting time hours are not counted as "hours worked" for overtime purposes unless work is actually performed.

A nonexempt California employee who is called back for a second work period in a workday and is given less than 2 hours' work will be paid a minimum of 2 hours' pay at the regular rate for the second work period, without regard to the number of hours actually worked. An employee will not receive callback pay if the reasons for lack of work are beyond the Company's control.

Call-In Pay, Split Shift Pay and Spread Time Pay (New York Employees Only)

A nonexempt New York employee who reports for work will be paid for at least four hours, or the number of hours in the regularly scheduled shift, whichever is less.

A nonexempt New York employee will receive an additional one-hour's total pay at his or her basic rate for any day in which: (1) the "spread of hours" exceeds ten hours; (2) there is a "split shift;" (3) both situations occur. A "spread of hours" is the interval between the beginning and end of an employee's work day and includes working time and time off for meals and off-duty intervals. A "split shift" is a schedule of daily hours in which the working hours required or permitted are not consecutive; no meal period of one hour or less shall be considered an interruption of consecutive hours.

Regular Pay Days

California and Nevada employees are paid every other Monday. New York employees are paid every Monday. Employees will receive their wages either (1) through direct deposit (if the employee has signed up for a direct deposit program); or (2) in a paycheck distributed by the employee's supervisor. If a pay day falls on a holiday, paychecks will be distributed on the preceding workday.

Payroll checks cannot be released to anyone but the employee unless the employee has given written authorization to the supervisor to do otherwise.

Payment on Resignation or Termination

The Company will comply with applicable state and federal law in distributing final paychecks to employees who have resigned or whose employment has been terminated.

EMPLOYEE BONUS

Purpose

The Employee Bonus Policy explains how the Company distributes bonuses to employees. The Company wants to reward employees whenever possible, since we all contribute to the Company's success with our hard work. This Policy clarifies how the Company chooses which employees to reward and how it calculates bonus amounts.

Scope

This Policy applies to all regular full-time and part-time employees.

The Company may modify this Policy and its bonus plans at any time without notice.

Only written promises of bonuses will be considered valid. If your manager or another member of the management team verbally promises you a bonus, he/she cannot follow through unless he/she puts it in writing and HR approves it.

The Company issues both discretionary and non-discretionary bonuses.

- Discretionary bonuses are determined at the Company's sole discretion. They aren't promised to employees and the Company can't guarantee anyone will receive them. For example, the Company may pay a bonus to reward an employee who showed exemplary performance at a particular time.
- Non-discretionary bonuses are promised or announced to employees and guaranteed to those who meet established criteria for the bonus. For example, the Company may promise to pay a non-discretionary bonus to reward an employee for meeting certain performance metrics.

The Company rewards employees for outstanding individual performance, as well as their contributions that help the Company achieve Company goals. Currently, the Company offers the following bonuses.

Audit Bonus

Each calendar year, each of the Lamonica's factories (26th Street, Maywood, Sacramento and New York) will participate in an unannounced audit by a third-party auditing company. John Lamonica decides whether bonuses for particular audit scores will be awarded and, if so, how much will be awarded for each of the employees on the audit teams. Whether an Audit bonus will be given, and for how much, is completely discretionary.

The audit bonus is discretionary.

Lump Sum Performance Bonus

The Company may award lump-sum bonuses (one-time bonus payments) to employees who show exemplary performance. The Company defines "exemplary performance" as:

- Exceeding goals;
- Performing additional duties from what is expected;
- Serving as a good example of professional behavior to other employees (e.g., teamwork, ethics, leadership, etc.)

Lump sum bonuses are generally paid, for example, to one individual from each Company location for being the Employee of the Quarter or being recognized as exhibiting exemplary safe behaviors.

Lump Sum Performance Bonuses are discretionary.

Lamonica's Good Worker and Safety Bonus Policy

All regular full-time and part-time, non-exempt employees are eligible for this bonus which will be issued quarterly (four times a year), provided the employee worked the entire quarter for which the bonus is being paid. For example, if an employee started on the third day of a particular quarter, then the employee is not eligible for that quarter's bonus.

At the end of the quarter, Lamonica's will review time, discipline, attendance and safety records for each regular full-time and part-time, non-exempt employee. If an employee has (1) received no oral or written discipline, (2) no unexcused absences, (3) no tardies, (4) no missed punches (i.e., in/out for the day and in/out for lunch) (4) no meal or rest break policy violations, (5) turned in any required Missed, Late or Short Meal and Rest Period Forms no later than the day after the missed, late or short meal or rest period occurred, and (5) has not been involved in any safety violations, then the employee will be issued a bonus.

The review periods for this bonus are January 1st- March 31st (Q1), April 1st - June 30th (Q2), July 1st – September 30th (Q3) and October 1st - December 31st (Q4).

Each calendar year, the bonus paid to employees meeting the criteria for Q1 will be in the amount of 2.25% of the employee's overall compensation from January 1st through March 31st. The bonus paid to employees meeting the criteria for Q2 (provided the EE also met the criteria for the bonus in Q1) will be in the amount of 2.75% of the employee's overall compensation from April 1st through June 30th. The bonus paid to employees meeting the criteria for Q3 (provided the EE also met the criteria for the bonus in Q1 and Q2) will be in the amount of 3.5% of the employee's overall compensation from July 1st through September 30th. The bonus paid to employees meeting the criteria for Q4 (provided the EE also met the criteria for the bonus in Q1-Q3) will be

in the amount of 5.0% of the employee's overall compensation from October 1st through December 31st. If an employee does not meet the criteria to earn the bonus in any quarter, the next quarter the employee meets the criteria, the bonus will be in the amount of 2.25% and will continue to increase each successive quarter (2.75%, 3.5%) the employee meets the criteria for the bonus (unless the employee doesn't meet the criteria in a particular quarter in which case the bonus will revert back to 2.25% the next quarter the bonus is earned). Each calendar year in Q1 the bonus amount will revert back to 2.25% of the employee's overall compensation from January 1st through March 31st.

The bonus will be issued no later than the last day of the month following the last month of the quarter. For example, after September 30th, Lamonica's will review the employees' time, discipline, attendance and safety records from July 1st through September 30th. If they meet the standard described above, a bonus will be issued no later than October 31th.

SHIFT AND WEEKEND DIFFERENTIAL PAY POLICY

The Shift and Weekend Differential Pay Policy allows for extra compensation to non-exempt employees who are scheduled to work a night, weekend, or weekend night shift on a regular, rotating or sporadic basis.

Differentials for Los Angeles and Sacramento Employees (Except Truck Drivers and Office Staff)

Employees who work third shift will be paid a night shift differential. The night shift differential applies to third shift hours worked from 8:00 p.m. to 6:30 a.m. The night shift differential also applies to hours worked by non-third shift employees from 8:00 p.m. to 6:00 a.m. For example, if an employee starts work at 4:00 a.m. the employee will be paid the night shift differential for two hours (from 4:00 a.m. to 6:00 a.m.). The night shift differential will be paid at a rate of \$1.25 for each hour worked during this time.

The weekend shift differential applies to hours worked on Saturday and Sunday. Employees will be paid a weekend differential of \$1.00 for each hour worked during this time.

The weekend night shift differential applies to hours worked on Saturday and Sunday from 8:00 p.m. to 6:30 a.m. Employees will be paid a weekend night shift differential of \$2.25 for each hour worked during this time.

Differential for Deep Cleaning Employees Working in the Sacramento Factory

The deep cleaning weekend shift differential applies to the hours worked by employees performing deep cleaning duties on Saturday and Sunday. Employees will be paid a deep cleaning weekend differential of \$6.00 for each hour worked during this time.

Differentials for Los Angeles and Sacramento Truck Drivers (Intrastate)

The driver night shift differential applies to those drivers who begin their shift between the hours of 1:55 a.m. and 3:05 a.m. Drivers who begin their shift during these times will be paid a night shift differential of \$1.25 per hour for each hour worked from 2:00 a.m. to 6:00 a.m.

Differentials for Pizzeria Employees

The pizzeria night shift differential applies to hours worked on Monday through Friday from 9:00 p.m. to close. Employees will be paid a night shift differential of \$1.00 per hour for each hour worked during this time.

The pizzeria weekend night shift differential applies to hours worked on Saturday and Sunday from 9:00 p.m. to close. Employees will be paid a weekend night shift differential of \$1.25 for each hour worked during this time.

Differential for New York Employees

The night shift differential applies to hours worked from 8:00 p.m. to 6:30 a.m. Employees will be paid a night shift differential of \$1.25 for each hour worked during this time.

Weekend shift differentials apply to all hours worked on a Saturday or Sunday.

Employees who work on a Saturday will be paid a Saturday weekend shift differential of \$1.25 per hour.

Employees who work on a Sunday will be paid a Sunday weekend shift differential of one and a half times their regular hourly rate per hour.

Overtime

All differentials paid to employees will be included in the employee's regular rate for purposes of overtime wage calculations.

Compensation for Vacation, Sick Time and Holidays

All paid vacation, sick and holiday time will be paid at the employees' base hourly rates. Shift differentials will not be added to vacation, sick or holiday pay.

Other Paid Leave

There may be times when the Company may close due to unexpected situations such as inclement weather or other reasons beyond the Company's control. The Company may choose to provide paid administrative leave during these times. Company administrative leave will be paid at the employees' base hourly rates. Shift differentials will not be added to paid administrative leave. And, administrative leave will not be included as hours worked in overtime calculations.

DRESS CODE

Personal Apparel and Grooming

Company employees are expected to wear clothing appropriate for the nature of our business and the type of work the employee is performing.

The Company expects employees to use good taste in grooming and in their choice of clothes for work. Clothing should be neat, clean and tasteful.

Management, administrative office and retail store employees who come into contact with customers, visitors, vendors and prospective employees must be particularly careful to utilize good judgment in determining dress and appearance. The Company wants to create a positive and professional image consistent with the quality of its products.

If an employee's supervisor considers an employee to be inappropriately dressed or groomed, the employee will be required to make a change in dress or grooming. If the employee is uncertain about what to wear or how to groom, the employee should ask his or her supervisor for additional information or clarification.

Although the Company recognizes that standards of dress will vary by Company location (e.g., factory versus office), there are some basic, Company-wide standards to which the Company expects all employees to adhere. The following is not considered appropriate attire and is not allowed:

- Shorts of any kind;
- Miniskirts;
- Bare midriffs;
- Tank tops and sleeveless tops;
- Sandals;
- Dirty, torn or stained jeans;
- Sweatpants;
- Screen printed and graphic T-shirts and sweatshirts other than Company shirts/sweatshirts; and
- Large, flamboyant jewelry, including large earrings, and facial jewelry of any kind (note, if working in the production or packaging areas, no jewelry or watches are permitted; however, wedding bands or other similar rings with no stones are permitted).

Requirements for Warehouse/Factory Employees

Employees who work in any warehouse/factory must avoid clothing that can create a safety or food safety hazard. Such clothing includes, but is not limited to, oversized clothing that can get caught on equipment, chains, loose buttons, snaps or other accessories (such as studs or spikes) at risk of falling off clothing and fuzzy sweaters which pose a risk of lint/material falling off.

Hoodie sweatshirts are permissible as long as the strings have been removed and the hoodie part of the sweatshirt is either being used on the employee's head or is tucked in the employee's white coat.

Beanie caps are permissible as long as they are free of any accessories, including but not limited to, fuzzy balls on top.

Baseball caps are permissible as long as they are logo free. Baseball caps with Lamonica's logo are permissible.

Safari hats are permissible to be worn while working outside only as long as they are logo free. Safari hats with Lamonica's logo are permissible.

Shirts must be tucked into pants at all times.

When smocks become heavily soiled, the employee is expected to change to a new smock at the earliest possible time.

Fingernails should be kept short, trim and clean. False fingernails and fingernail polish are prohibited for anyone that works in the warehouse including factory office staff. HR personnel and corporate staff who do not frequently enter the warehouse are permitted to have false fingernails and/or fingernail polish but Lamonica's expects all employees to use discretion and to look professional at all times.

Appropriate footwear must be worn at all times—all employees working in the warehouse, including factory office staff, **must** wear Company approved nonslip steel toed shoes when in the warehouse. HR personnel and corporate office staff who do not frequently enter the warehouse do not need to wear nonslip steel toed shoes, but dress shoes with heels higher than 1 inch are prohibited.

Cologne and perfume are prohibited for all non-office warehouse personnel.

A member of the company management team may approve exceptions to the above policy for visitors and vendors who are visiting or touring the factory; such visitors must be escorted by a company employee at all times and are not permitted to touch or be in close proximity to food products, food contact surfaces or company equipment.

All of the above requirements are in addition to the requirements set forth in the GMPs for each factory location.

Requirements for Pizzeria Employees

Fingernails should be kept clean and professional looking. If any employee has false fingernails or polished fingernails, the employee must use disposable gloves while working.

Reasonable Accommodation

Any Company Employee who needs a reasonable accommodation relating to their grooming or dress because of medical conditions, religious beliefs, observances or practices or otherwise, should contact the Human Resources department to discuss the need for an accommodation.

ATTENDANCE AND LATE POLICY

Showing up for work when scheduled and on time is the minimum that we expect from all of Lamonica's employees. Being on time shows respect and earns respect. If you are unable to show up when you are scheduled, you must notify your supervisor or manager immediately.

ABSENCE

Absence is when you don't show up when you are scheduled. There are two types of absences: Excused and Unexcused.

The following are "excused" absences:

- An absence approved by your supervisor or manager.

- An unexpected absence because of an emergency or unforeseen circumstance that is also approved by a supervisor.

An “unexcused” absence is any other absence.

BEING LATE

An employee is late when they arrive after their scheduled start time. If you are late, supervisors or managers, may send you home for the day. If you are sent home, it will be an unexcused absence. Late is one minute late. To be safe, show up early. Being on time shows respect and earns respect!!

LEAVING WORK EARLY

If an employee leaves work before the end of their shift without approval, it will be an unexcused absence and may result in being fired.

NOT CLOCKING IN AND/OR OUT

Hourly employees are required to clock in and out. A missed clock in/out is a violation of this Policy and includes:

- Not clocking in/out on a designated time clock at the beginning or end of your shift.
- Not clocking in/out on a designated time clock for your required meal break.
- Clocking in/out or late for assigned shift without prior approval.

NOTIFICATION PROCEDURES

An employee who is absent or late for a reason that falls under the Company Paid Sick Time Policy, will follow the notification procedures described in our Paid Sick Time Policy. When you want to take your vacation, you will follow the request procedures in the Vacation Policy. For all other attendance notifications, you will follow the Notification Procedures in the Absence and Late Policy.

If you are going to be late or not show up to work, you must notify your supervisor immediately, which should not be later than your scheduled start time. There will be times when being late could become an excused late or absence, but you will have to show proof. An example of this is the train blocking you from getting to work, or a legitimate family emergency or illness.

Failing to call in and report to work as scheduled for two days in a row will be considered as having abandoned your job and quitting.

OUR DISCIPLINE PROCESS

Supervisors will keep track of your attendance and address unacceptable attendance promptly. If supervisors notice a pattern of unscheduled time off, you will be notified that you may be suspended or fired.

The following is the discipline that will be APPLIED for different attendance issues. This guide will be used on a rolling 12-month period of time.

LATE

Hourly employees only

- One (1) Verbal Warning
- Two (2) Written Warning
- Three (3) One day suspension and potential termination

UNEXCUSED ABSENCES

- One (1) Verbal Warning
- Two (2) One day suspension if it's 2 days in a row could be fired
- Three (3) You're fired

MISSED CLOCK PUNCHES

Hourly employees only

- Two (2) Verbal Warning
- Three (3) Written Warning
- Four (4) Final written warning and Two-day suspension
- Five (5) You're fired

SINGLE DAY OF NO CALL/ NO SHOW

- One (1) Two-day suspension
- Two (2) Two-day suspension and final written warning if it's 2 days in a row.
- Three (3) You're Fired

INTRODUCTORY/PROBATION PERIOD

During this period which is 180 days/6 months, anyone who has two lates will be suspended for two days and possibly fired. The third late will definitely result in you being fired.

PERFORMANCE INDICATOR

Showing up on time when you are scheduled is the minimum expectation of all Lamonica's employees. Showing up when you are scheduled, working hard when you are at work and getting along with your coworkers and managers will play a large part when deciding raises, bonuses, and promotions.

EMPLOYEE BENEFITS

The Company provides a variety of benefit programs for its regular employees. The Company reserves the right to eliminate or modify any benefit at any time at the Company's sole discretion to the full extent legally permissible.

Benefits eligibility is dependent upon a variety of factors, including employee classification. A number of the benefit programs (such as Social Security, workers' compensation, state disability, and unemployment insurance) cover all employees in the manner prescribed by law.

This section provides brief summaries of the benefit programs sponsored by the Company. More detailed information regarding the Company's employee benefit plans is set forth in the official plan documents and insurance policies that govern the plans. Accordingly, in case of any real or apparent conflict between the brief summaries set forth in this Handbook and the official plan documents, the latter controls. Employees are encouraged to use benefits as needed and appropriate and to seek assistance from the Human Resources Office or Helen Toledo at any time. Employees are responsible for ensuring that a benefit is in effect and that they are eligible to participate in the benefit before using it.

Health Insurance

The Company offers all regular full-time employees an opportunity to enroll themselves, their spouses and their dependents in the Company's Health Insurance Plan which includes medical, dental and vision insurance. Employees are eligible to enroll the first of the month after completing 30 days of continuous employment with the Company.

Open Enrollment

Open Enrollment begins February 1st and ends February 28th or 29th each year. Benefits are effective March 1st. Open Enrollment dates are subject to change.

Insurance Premiums

The Company makes the following contributions to employee health insurance premiums for California employees.

- 100% of HMO medical, PPO dental and vision insurance premiums for all regular full-time employees.
- 100% of HMO medical, PPO dental and vision insurance premiums for all regular full-time managers' and assistant managers' spouses and dependents.
- 25% of HMO medical for all regular full-time employees' spouses and dependents.
- 100% of PPO dental and vision insurance premiums for all regular full-time employees' spouses and dependents.

California employees may elect to "buy up" to a PPO insurance plan. If they do, they must pay the difference between the HMO insurance premium (amount paid by Company) and the PPO insurance premium (the "buy up").

The Company makes the following contributions to employee health insurance premiums for New York and Nevada employees.

- 100% of PPO medical, PPO dental and vision insurance premiums for all regular full-time New York and Nevada employees.
- 100% of PPO medical, PPO dental and vision insurance premiums for all regular full-time New York and Nevada managers' and assistant managers' spouses and dependents.
- 25% of PPO medical for all regular full-time New York and Nevada employees' spouses and dependents.

- 100% of PPO dental and vision insurance premiums for all regular full-time New York and Nevada employees' spouses and dependents.

Cash in Lieu of

As an alternative to enrolling in the Company's Medical Benefit Plan, employees who are covered by another qualifying group health plan that conforms to the Affordable Care Act's ("ACA") minimum value standards, may elect to opt out of receiving Medical Insurance Coverage and instead receive a gross payment of \$214.00 a month or \$2,568.00 a year as additional compensation paid in bi-weekly installments of \$98.77 (over 26 payroll periods). This "Cash in Lieu of" option is only available during Open Enrollment. After Open Enrollment closes, employees may not opt into the "Cash in Lieu of" option. However, if an employee declines medical coverage, chooses the "Cash in Lieu of" option during Open Enrollment and later experiences a "qualifying event" defined by the Affordable Care Act, the employee may enroll in the Company's Medical Benefit Plan within 30 days of the qualifying event. Employees who choose this "Cash in Lieu of" option are still eligible for, and may enroll in, the Company Dental and Vision Benefit Plans. Employees who are eligible for or covered by Medicare are not eligible for "Cash in Lieu of."

Continuation of Benefits

The Federal Consolidated Omnibus Budget Reconciliation Act ("COBRA") and applicable state law ordinarily gives employees and their qualified beneficiaries the opportunity to continue health insurance coverage under the Company's Health Plan when a "qualifying event" would normally result in the loss of eligibility. Some common qualifying events are resignation, termination of employment, death of an employee, a reduction in an employee's hours or a leave of absence, an employee's divorce or legal separation, and a dependent child no longer meeting eligibility requirements.

Under COBRA, the employee or beneficiary pays the full cost of coverage at the Company's group rates plus an administration fee.

The Company provides each eligible employee with a written notice describing rights granted under COBRA or applicable state law when the employee becomes eligible for coverage under the Company's health insurance plan. The notice contains important information about the employee's rights and obligations.

Flexible Spending Accounts

The Company has a Flexible Spending Account ("FSA") Program which allows eligible employees to set aside a portion of their annual salaries to pay qualified unreimbursed medical expenses, qualified dependent care expenses, and qualified commuting and parking expenses incurred during the year before taxes are calculated. Employees choose how much to contribute. The annual contribution amount chosen is equally divided into pay-period deductions. If qualified expenses are not paid by a FSA debit card, then to be reimbursed for eligible expenses, the employee must submit claims to the Company's FSA administrator, TASC.

The FSA Program is a fringe benefit authorized by the Internal Revenue Code and regulated by the Internal Revenue Service ("IRS"). IRS regulations define which expenses qualify for reimbursement under this plan. Nothing in this Policy shall impose or limit requirements which may be otherwise imposed by law. Exceptions to the regulations governing this Program cannot be granted by the Company. Tax law changes may affect this Program.

Employees may set up and contribute to one or more of the following Flexible Spending Accounts:

- **Health/Medical FSA.** Employees who have a Health/Medical FSA account may use the funds in the account to pay for certain qualified medical, dental, prescription, vision, and hearing care expenses for themselves, their spouses and their dependents that are not covered by insurance plans.
- **Dependent Care FSA.** Employees who have a Dependent Care FSA may use the funds in the account to pay for dependent care at a licensed facility and care services from unrelated individuals such as a nanny and dependent care centers such as preschool, summer day camp, before or after-school programs, and child or adult daycare.
- **Commuter FSA.** Employees who have a Commuter FSA may use the funds in the account to pay for qualified expenses relating to commuting to and from work via mass transit, vanpooling, and the like. All New York FSA eligible employees are entitled to receive a monthly \$125 contribution from the Company to their Commuter FSA.
- **Parking FSA.** Employees who have a Parking FSA may use the funds in the account to pay for qualified parking expenses associated with work.

The FSA contribution limits change from year to year. You can obtain a full list of FSA qualified expenses and limits from the Company's FSA Administrator, TASC, on the Lamonica's UKG Homepage <https://nw15.ultipro.com/Login.aspx>.

Plan Year

The plan year for the FSA Program begins on March 1st and ends on February 28th or 29th. Continued participation requires active enrollment each year.

Eligibility

Employees are eligible to enroll in the FSA Program the first of the month after 30 days of continuous employment.

Enrollment

Employees may enroll and re-enroll in the Program during the open enrollment period or at any time thereafter. Newly eligible employees may enroll in the Program after they become eligible.

Related Links

Forms can be found on the Company UKG Homepage <https://nw15.ultipro.com/Login.aspx>.

Workers' Compensation Insurance

The Company provides a comprehensive workers' compensation insurance program to protect employees who are injured on the job. This insurance provides medical, surgical and hospital treatment in addition to payment for loss of earnings that result from work-related injuries. The cost of this coverage is paid completely by the Company.

Employees who sustain work-related injuries or illnesses should inform the Human Resources Department immediately. No matter how minor an on-the-job injury may appear, it is important that it be reported immediately. This will enable an eligible employee to qualify for coverage as quickly as possible.

401K

Eligible employees are entitled to participate in the Company's 401k Plan, subject to all terms and conditions of the Plan.

Plan Year

The Plan Year for the 401K begins on January 1st and ends on December 31st. Continued participation requires active enrollment each year.

Eligibility

To be eligible to participate in the Company's 401K Plan, employees must be at least 21 years of age.

Enrollment

Newly eligible employees may enroll on the first entry date after they become eligible. There are four entry dates: January 1st, April 1st, July 1st, and October 1st. Thereafter, the employee may enroll, unenroll or re-enroll at any time.

Safe Harbor Match

The Company provides a safe harbor match as follows: If you contribute up to 5% of your compensation as a deferral, the Company will make a safe harbor 401K matching contribution of 100% on these deferrals.

Related Links

The link to the Vanguard 401k website can be found on the UKG Homepage
<https://nw15.ultipro.com/Login.aspx>.

Costco Memberships

Employees are eligible to receive a paid Corporate Costco Membership after six months of continuous service for the Company.

PAID SICK TIME

At Lamonica's the health and safety of employees and customers is our highest priority. It is our policy that if you are sick, you must stay home. If you come to work visibly ill, you will be asked to leave.

We will provide sick time benefits to eligible employees as required by law. You can contact Human Resources for additional information.

Eligible Employees

We provide all employees with paid sick time. A California employee may use sick time after 90 days of employment. A New York employee may use sick time as soon as it is accrued, with no waiting period.

Amount of Sick Time

We will provide California and Nevada employees with 6 days/48 hours of paid sick time at the beginning of the year. We will provide New York employees with 7 days/56 hours of paid sick time at the beginning of the year. Accrued but unused sick time will be carried over from one calendar year to the next. California and Nevada employees may only use a total of 48 hours of sick time during the year, regardless of the amount of sick time the employee has accrued. A New York employee may only use a total of 56 hours of sick time during

the year, regardless of the amount of sick time the employee has accrued. Your accrued sick time and sick time used is provided on each employee paystub.

Use of Sick Time

You may use your sick time for absence from work due to:

- Your mental or physical illness, injury, or health condition.
- Your need for doctor visits, care, or treatment of your illness, injury, or health condition.
- Your need for preventive medical care.
- To care for a family member who needs medical care.
- If you or a family member is a victim of domestic violence, family offense, sexual offense or assault, stalking or human trafficking.
- Closure of the New York facility due to a public health emergency (as declared by the Commissioner of the NY City Department of Health and Mental Hygiene or the Mayor).
- In New York, if you need to care for a child due to a public health emergency declared in NY City.

For this policy, a "family member" is a child (including a biological, adopted, or foster child; stepchild; legal ward; child for whom an employee is standing in place of a parent); grandchild; spouse; registered domestic partner; parent (including a biological, adoptive or foster parent, stepparent, legal guardian of an employee, or a person who stood in place of a parent for you when you were a minor); grandparent; child or parent of an employee's spouse or registered domestic partner; and sibling (including a half, adopted, or step-sibling). In California, "family member" also includes a person chosen by the employee. A chosen person is someone identified by you at the time you request paid sick days. The chosen person does not need to be related to you; they do not need to be a family member. You may only choose one person per 12-month period.

Paid sick time is not to be used for anything other than the reasons specified above. If you use sick time for any other reason other than those set forth above, you will be suspended and possibly fired. If you have questions about the permitted uses for sick time, please contact Human Resources.

Requesting Sick Time

For planned and unexpected uses of sick time in New York, and for unexpected uses of sick time in California and Nevada, you must tell your supervisor and Human Resources that you need to request sick time, as soon as possible, but no later than the start time of your shift (if it is not a special or emergency circumstance, as determined by Human Resources on a case-by-case basis). In California and Nevada, for planned sick time, you must provide reasonable advance notice to your supervisor and Human Resources, but you are not required to provide more than 7 days of advance notice. You must provide notice to your supervisor by calling and leaving a message and notice to HR by calling 323-263-0644 and leaving a message for the Human Resources Department or emailing the Human Resources Department at hr@lamonicaspizza.com.

You will never be required to find a substitute or replacement employee to cover your shift.

Employees must use at least 2 hours of sick time per occasion.

If an employee uses more than 3 consecutive workdays of sick time, we may require you to provide proof from a health care provider (doctor's note) stating the amount of sick time taken and that the use of sick time is allowed under this policy. You and the health care provider are not required to specify the nature of your or your family member's injury, illness or condition, unless otherwise required by law. You have 7 days from the date you return to work to provide the note. "Workdays" means the days or parts of days that you were scheduled to work.

Compensation for Sick Time

We will pay salaried employees sick time based on your base salary. An hourly employee in New York City or Nevada will be paid for sick time at the same rate that they would have earned when the sick time was taken. An hourly employee in California will be paid for sick time based on their regular rate of pay for the week in which they use the sick time.

Sick time will be paid for the hours you were scheduled to work but were absent. Sick time does not count as time worked for purposes of overtime calculation.

No one will receive pay instead of sick time and unused sick time will not be paid out at termination. When you have used up all your sick time, you CAN NOT use any available accrued vacation.

Coordination of Sick Time With Other Benefits

You may use accrued sick time during the normal waiting period, if applicable, before you are paid workers' compensation benefits, in accordance with the law. You may use accrued sick time during the normal waiting period, if applicable, before you are paid benefits from either state disability or other insured disability plan.

Sick Time During Leaves of Absence

If you take a leave of absence for your own serious health condition, you will be required to use your sick time during your leave.

FAMILY CARE AND MEDICAL LEAVE POLICY

Purpose/Objective

The federal Family and Medical Leave Act (FMLA) and the California Family Rights Act (CFRA) provide eligible employees the opportunity to take unpaid, job-protected leave for certain medical and nonmedical needs for themselves and family members. Each of these leaves is explained below. The maximum amount of leave available under this policy is twelve (12) weeks of CFRA leave in a 12-month period and twenty-six (26) weeks of FMLA leave (where military caregiver leave applies) in a 12-month period, some or all of which may run concurrently. For more information regarding leave under this policy, employees should contact Human Resources.

Eligibility

To be eligible for leave under this policy, employees must meet all of the following requirements:

- 1. Have worked at least twelve (12) months for Lamonica’s in the preceding seven (7) years (exceptions apply to the seven-year requirement).
- 2. Have worked at least 1,250 hours for Lamonica’s over the twelve (12) months preceding the date the leave would commence.
- 3. FMLA only (NY only*): Currently work at a location where there are at least fifty (50) employees within seventy-five (75) miles.

*Lamonica’s New York location does not currently employ 50 employees within seventy-five miles and is not currently covered by FMLA.

All periods of absence from work due to or necessitated by service in the uniformed services are counted as hours worked in determining eligibility.

Employees with questions about eligibility should contact Human Resources.

Permissible Uses of Family Care/Medical Leave

The FMLA and CFRA have different definitions of "family member," and only the FMLA allows employees to take up to twenty-six (26) weeks of leave to provide care for an injured military family member. Because of this, FMLA and CFRA leaves may not always run concurrently (at the same time). In general, CFRA/FMLA leave may be taken for any of the following reasons:

Reasons for Leave (See related definitions at the end of the policy.)		CFRA	FMLA	Both
To care for or bond with:	An employee's newborn child or newly placed foster or adopted child. *If both parents are employed by Lamonica’s and are eligible for CFRA leave due to the birth, adoption or foster care placement of their child, each parent is entitled to take up to 12 workweeks in the one-year period after the child's birth, adoption, or foster care placement.			X
	A domestic partner's newborn child or newly placed foster or adopted child.	X		

To care for a family member with a serious health condition who is the employee's:	Spouse, parent or child under age 18, or age 18 or older who is incapable of self-care.			X
	Spouse, domestic partner, child or registered domestic partner's child of any age, parent, parent-in-law, sibling, grandparent, grandchild or designated person.	X		
The employee's own serious health condition that makes the employee unable to perform his or her job, excluding leave for the medical disability related to pregnancy and birth.				X
The employee's own medical disability related to pregnancy and birth. *See also Pregnancy-Related Disability Policy			X	
A qualifying military exigency related to the covered active duty or call to covered active duty of an employee's spouse, parent or child in the United States armed forces.				X
Military caregiver leave for a service member with a serious health condition who is the employee's spouse, domestic partner, child, parent or next of kin.*			X	

*CFRA leave will run concurrently when the family member, regardless of military status and, with the exception of next of kin, meets the standard criteria for a serious health condition.

Leave's Effect on Pay

Except to the extent that other paid time off is substituted for family care/medical leave, family care/medical leave is unpaid.

Interaction with Paid Leave

Depending on the purpose of the leave request, employees may choose (or Lamonica's may require employees) to use accrued paid leave (such as sick leave or vacation) concurrently with some or all of the leave taken under this policy. To use paid leave for FMLA/CFRA leave, eligible employees must comply with Lamonica's normal procedures (e.g., call-in procedures, advance notice) for the applicable paid-leave policy. *See* section below (Substitution of Accrued Paid Time Off for a Family Care/Medical Leave).

Substitution of Accrued Paid Time Off for Family Care/Medical Leave

Leave for the birth or adoption of an employee's child or for the placement of a foster child with the employee:

- An employee may substitute any accrued vacation time (pursuant to the Company's Vacation Policy) for leave taken for the birth or adoption of an employee's child or for the placement of a foster child with the employee.
- An employee may elect to substitute accrued sick time (pursuant to the Company's Paid Sick Time Policy) for leave taken for the birth or adoption of an employee's child or for the placement of a foster child with the employee.

Leave for the employee's serious health condition:

- An employee may substitute any accrued vacation time (pursuant to the Company's Vacation Policy) for leave taken for the employee's serious health condition.
- An employee must substitute any accrued sick time (pursuant to the Company's Paid Sick Time Policy) for unpaid leave taken for the employee's serious health condition.

Leave for the serious health condition of an employee's family member:

- An employee may substitute any accrued vacation time (pursuant to the Company's Vacation Policy) for leave taken for the serious health condition of an employee's family member.
- An employee may elect to substitute accrued sick time (pursuant to the Company's Paid Sick Time Policy) for unpaid leave taken for the serious health condition of an employee's family member.

Qualifying exigency leave:

- An employee may substitute any accrued vacation time (pursuant to the Company's Vacation Policy) for qualifying exigency leave.
- An employee may substitute accrued sick time (pursuant to the Company's Paid Sick Time Policy) for qualifying exigency leave.

Covered service member leave:

- An employee may substitute any accrued vacation time (pursuant to the Company's Vacation Policy) for covered service member leave.
- An employee must substitute accrued sick time (pursuant to the Company's Paid Sick Time Policy) for covered service member unpaid leave. *California employees only:* However, if the leave also qualifies as leave under the CFRA, the employee is not required to substitute accrued sick time during the portion of the leave that is designated as CFRA leave, but the employee may choose to substitute accrued sick time.

Note, that in addition to substituting paid time off in the manner described above, California employees may be entitled to California Paid Family Leave ("PFL") from the state for absences from work to bond with a minor child or to care for a seriously ill or injured family member.

PFL must be taken concurrently with (at the same time as) family care and medical leave (PFL does not entitle an employee to take any additional time off), and the employee must use up to two weeks of any accrued vacation time before he or she will be eligible to receive PFL. If the leave is related to the employee's own

serious health condition, California employees may be eligible for State Disability Insurance (SDI) from the state. Employees should contact Human Resources for more information about these programs.

Leave's Effect on Benefits

The Company will continue making contributions to employee group health benefits during the leave on the same terms as if employees had continued to actively work. This means that if employees want their benefits coverage to continue during their leave, they must also continue to make the same premium payments that they are now required to make for themselves or their dependents. Failure to make timely payments may result in termination of health insurance coverage.

If the employee fails to return from the leave for a reason other than the recurrence, continuation, or onset of a serious health condition for which leave under this policy is allowed or other circumstances beyond the employee's control, the Company can recover any monies it paid for the employee's health care benefits during any unpaid periods of the leave.

An employee on family care medical leave will accrue employment benefits such as sick time, vacation time and seniority, if any, only when paid time off is being substituted for unpaid leave and only if the employee would otherwise be entitled to such accrual. Employee paid leave accruals will not continue during unpaid periods of FMLA/CFRA absence or when only disability payments are being received.

Amount of Leave

Provided all the conditions of this Policy are met, an employee may take a maximum of 12 weeks of leave in a rolling 12-month period (measured backwards from the date the employee's leave commences) for: leave for the birth of a child or the placement of a child with the employee for adoption or foster care; leave for the employee's own serious health condition; leave to care for the employee's family member with a serious health condition; and/or qualifying exigency leave, with some statutory limitations.

An employee may take a maximum of 26 weeks of covered service member leave in a single 12-month period, measured forward from the date the employee's leave commences. Any other leave under this Family Care and Medical Leave Policy taken in that 12-month period will be counted against the 26 weeks of covered service member leave. An employee may not take more than 26 workweeks of leave in any single 12-month period.

The substitution of paid time off for family care/medical leave does not extend the total duration of family care/medical leave to which an employee is entitled to beyond 12 weeks (or 26 weeks for covered service member leave) in a 12-month period.

Family care leave taken for the birth, adoption, or foster care placement of a child generally must be taken in blocks of at least 2 weeks' duration; however, the Company will provide employees with family care leave for birth, adoption, or foster care placement of less than 2 weeks' duration on any two occasions. Family care leaves for the birth, adoption or foster care placement of a child must be concluded within 1 year of the birth, adoption or placement.

Leave for the employee's own serious health condition, the serious health condition of a family member or covered service member may be taken intermittently or on a reduced schedule where medically necessary. If these types of leave are taken intermittently or on a reduced schedule for planned medical treatments, the Company retains the discretion to transfer the employee temporarily to an alternative position with equivalent

Employee Handbook 2024

pay and benefits which better accommodates the employee's leave schedule. Qualifying exigency leave also may be taken intermittently or on a reduced schedule. An employee who takes intermittent or reduced-schedule leave for planned medical treatment must make a reasonable effort to schedule the treatment so as not to unduly disrupt the Company's operations.

Requesting Family Care/Medical Leave

When seeking leave under this Policy, employees should follow the procedure below:

1. Employees should notify the Company of their request for family care/medical leave as soon as they are aware of the need for such leave. If the need for qualifying exigency leave is foreseeable, the employee should provide such notice that is reasonable and practical.
2. For other types of leaves, if the need for the leave is foreseeable, the employee must provide 30 calendar days advance notice to the Company of the need for leave, if possible. If the leave is unforeseeable 30 days in advance, but is not an emergency, the employee should notify the Company as soon as possible under the facts and circumstances of the employee's particular case. If the leave is requested in connection with a planned, non-emergency medical treatment, the employee may be asked to reschedule the treatment so as to minimize disruption of the Company's operations. If an employee fails to comply with these notice procedures without any reasonable excuse, the Company reserves the right to delay the taking of the leave.
3. All requests for family care/medical leave should include the anticipated date(s) and duration of the leave. If circumstances allow, requests for extensions of a family care/medical leave should be received at least five (5) working days before the date on which the employee was originally scheduled to return to work. Requests for extensions should include the revised anticipated date(s) and duration of the family care/medical leave.

Medical Certification

Any request for medical leave for an employee's own serious health condition, for family care leave to care for a family member with a serious health condition, or for covered service member leave must be supported by medical certification from a health care provider.

For foreseeable leaves, employees must provide the required medical certification before the leave begins. When this is not possible, the employee must provide the required certification within 15 calendar days after the Company's request for certification, unless it is not practical under the circumstances to do so, despite the employee's good faith efforts.

Failure to provide the required medical certification may result in the denial of foreseeable leaves until such certification is provided. In the case of unforeseeable leaves, failure to provide the required medical certification within 15 days of being requested to do so may result in a denial of the employee's leave. Any request for an extension of the leave also must be supported by an updated medical certification.

The Company also may request recertification from the employee to the extent authorized by law.

Reinstatement

An employee who timely returns to work at or before the expiration of his or her family care/medical leave will be reinstated to the same or an equivalent position consistent with applicable law.

Before permitting the employee to return to work, the Company may require the employee to provide medical certification that he or she is able to return to work.

Military Caregiver Leave

Military caregiver leave is designed to allow eligible employees to care for certain family members who have sustained serious injuries or illness while on active duty. Within the single 12-month period described above, an eligible employee may take a total of twenty-six (26) weeks of CFRA/FMLA leave, including up to twelve (12) weeks of leave for any other CFRA/FMLA-qualifying reason (i.e., birth or adoption of a child, serious health condition of the employee or close family member, or a qualifying exigency). For example, during the single 12-month period, an eligible employee may take up to sixteen (16) weeks of CFRA/FMLA leave to care for a covered service member when combined with up to ten (10) weeks of CFRA/FMLA leave to care for a newborn child.

Military caregiver leave applies on a per-injury basis for each service member. Consequently, an eligible employee may take separate periods of caregiver leave for each covered service member and/or for each serious injury or illness of the same covered service member. A total of no more than twenty-six (26) workweeks of military caregiver leave, however, may be taken within any single 12-month period.

Qualifying Exigency Leave

Employees who meet the eligibility standards set forth above are eligible to request qualifying exigency leave. Although qualifying exigency leave may be combined with leave for other FMLA-qualifying reasons, under no circumstances may the total leave exceed twelve (12) weeks in any 12-month period (with the exception of military caregiver leave as set forth above).

Eligible employees may take unpaid qualifying exigency leave to tend to certain exigencies arising out of the duty under a call or order to active duty of a covered military member (i.e., the employee's spouse, child or parent). Up to twelve (12) weeks of qualifying exigency leave is available in any twelve (12) month period, as measured by the same method that governs measurement of other forms of leave within this policy, with the exception of military caregiver leave, which is subject to a maximum of twenty-six (26) weeks of leave in a single 12-month period. The maximum amount of qualifying exigency leave an employee may use to bond with a military member on short-term, temporary rest and recuperation during deployment is fifteen (15) days.

Persons who can be ordered to active duty include active and retired members of the armed forces, certain members of the retired Reserve and various other Reserve members, including in the Ready Reserve, Selected Reserve, Individual Ready Reserve, National Guard, state military, Army Reserve, Navy Reserve, Marine Corps Reserve, Air National Guard, Air Force Reserve and Coast Guard Reserve.

A call to active duty refers to a federal call to active duty, and state calls to active duty are not covered unless under order of the president of the United States pursuant to certain laws.

Qualifying exigency leave is available under the following circumstances:

1. **Short-notice deployment:** To address any issue that arises out of short notice (within seven (7) days or less) of an impending call or order to active duty.
2. **Military events and related activities:** To attend any official military ceremony, program or event related to active duty or a call to active-duty status, or to attend certain family-support or assistance programs and informational briefings.
3. **Child care and school activities:** To arrange for alternative child care; to provide child care on an urgent, immediate-need basis; to enroll a child in or transfer a child to a new school or day care facility; or to attend meetings with staff at a school or day care facility.
4. **Financial and legal arrangements:** To make or update various financial or legal arrangements or to act as the covered military member's representative before a federal, state or local agency in connection with service benefits.
5. **Counseling:** To attend counseling (provided by someone other than a health care provider) for the employee, the covered military member, or a child or dependent when necessary as a result of duty under a call or order to active duty.
6. **Temporary rest and recuperation:** To spend time with a covered military member who is on short-term, temporary rest and recuperation leave during the period of deployment. Eligible employees may take up to fifteen (15) days of leave for each instance of rest and recuperation.
7. **Post-deployment activities:** To attend arrival ceremonies, reintegration briefings and events, and any other official ceremony or program sponsored by the military for a period of up to ninety (90) days following termination of the covered military member's active duty status. This also encompasses leave to address issues that arise from the death of a covered military member while on active duty status.
8. **Mutually agreed leave:** Other events that arise from the close family member's call or order to active duty, provided that [Company Name] and the employee agree that such leave shall qualify as an exigency and agree to both the timing and duration of such leave.

Definitions

A “serious health condition” is an illness, injury, impairment, or physical or mental condition that involves either an overnight stay in a medical care facility or continuing treatment by a health care provider, and either prevents the employee from performing the functions of his or her job or prevents the qualified family member from participating in school or other daily activities. Subject to certain conditions, the continuing-treatment requirement includes an incapacity of more than three (3) full calendar days and two (2) visits to a health care provider, or one (1) visit to a health care provider and a continuing regimen of care; an incapacity caused by a chronic condition or permanent or long-term conditions; or absences due to multiple treatments. Other situations may also meet the definition of “continuing treatment.”

A “designated person” is any individual related by blood or whose association with the employee is the equivalent of a family relationship.” Employees may only designate one person per 12-month period.

“Qualifying exigencies” include activities such as short-notice deployment, military events, arranging alternative child care, making financial and legal arrangements related to deployment, rest and recuperation, counseling, parental care, and post-deployment debriefings.

A “covered servicemember” is either 1) a current service member of the armed forces, including a member of the National Guard or Reserves, with a serious injury or illness incurred in the line of duty for which the service member is undergoing medical treatment, recuperation or therapy; otherwise in outpatient status; or otherwise on the temporary disability retired list; or 2) a covered veteran who is undergoing medical treatment, recuperation or therapy for a serious injury or illness.

A “covered veteran” is an individual who was discharged under conditions other than dishonorable during the five-year period prior to the first date the eligible employee takes FMLA leave to care for the covered veteran. The period between October 28, 2009, and March 8, 2013, is excluded in determining this five-year period.

“Next of kin” means the nearest blood relative of the service member, other than the service member's spouse, domestic partner, parent, son or daughter, in the following order of priority: blood relatives who have been granted legal custody of the service member by court decree or statutory provisions, brothers and sisters, grandparents, aunts and uncles, and first cousins, unless the service member has specifically designated in writing another blood relative as his or her nearest blood relative for purposes of military caregiver leave.

The definition of "serious injury or illness" for current service members and veterans is distinct from the definition of "serious health condition" for CFRA/FMLA leave. For purposes of this policy, "serious injury or illness" means an injury or illness incurred by the service member in the line of duty while on active duty in the armed forces that may render the service member medically unfit to perform the duties of the service member's office, grade, rank or rating or that existed before the beginning of active duty and was aggravated by service while on active duty.

With regard to covered veterans, the serious injury or illness may manifest itself before or after the individual assumed veteran status and is 1) a continuation of a serious injury or illness that was incurred or aggravated when the covered veteran was a member of the armed forces and rendered the service member unable to perform the duties of the service member's office, grade, rank or rating; 2) a physical or mental condition for which the covered veteran has received a VA service-related disability rating of 50 percent or greater, and such rating is based, in whole or in part, on the condition precipitating the need for caregiver leave; 3) a physical or mental condition that substantially impairs the veteran's ability to secure or follow a substantially gainful occupation by reason of a disability or disabilities related to military service, or would absent treatment; or 4) an injury, including a psychological injury, on the basis of which the covered veteran has been enrolled in the Department of Veterans Affairs Program of Comprehensive Assistance for Family Caregivers.

Pregnancy-Related Disability Leave For California Employees

This section applies to the Company's California employees only. For our New York employees, a pregnancy disability is treated as any other disability, and may be grounds for a disability leave of absence as described in the sections of this Leaves of Absence Policy titled “Family Care and Medical Leave” and "Other Disability Leaves."

A. Eligibility and Duration

1. Leave of Absence

Any employee who is disabled on account of pregnancy, childbirth or related conditions may take a pregnancy-related disability leave of up to four months, in addition to any family care or medical leave to which the employee may be entitled under the section of this Leaves of Absence Policy titled "Family Care and Medical Leave." Pregnancy-related disability leaves may be taken intermittently, or on a reduced-hours schedule, as medically necessary.

2. Reasonable Accommodation

An employee is entitled to a reasonable accommodation for pregnancy, childbirth, or related medical conditions if she so requests and provides the Company with medical certification from her health care provider. In addition to other potential forms of reasonable accommodation, a pregnant employee may be entitled to transfer temporarily to a less strenuous or hazardous position or to less hazardous or strenuous duties if she so requests, the transfer request is supported by proper medical certification, and the transfer can be reasonably accommodated.

B. Substitution of Paid Leave for Pregnancy-Related Disability Leave

An employee taking pregnancy-related disability leave must substitute any available sick pay for her leave and may, at her option, substitute accrued vacation time for her leave. The substitution of paid leave for pregnancy-related disability leave does not extend the total duration of the leave to which an employee is entitled.

C. Other Terms and Conditions of Leave

The provisions of the Company's Family Care and Medical Leave Policy regarding the leave's effect on pay, notice requirements, medical certification requirements and reinstatement also apply to all pregnancy-related disability leaves. However, for pregnancy-related disabilities, there is no process for obtaining more than one medical opinion, and there is no reinstatement exception for key employees. For the purpose of applying those provisions, an employee's pregnancy-related disability is considered to be a serious health condition. The Company will not pay for health benefits in excess of 12 weeks except as to the extent required by law.

Reasonable Accommodations for Pregnant Workers Policy

This section applies to all company employees.

Purpose

As required by the federal Pregnant Workers Fairness Act (PWFA), Lamonica's will provide reasonable accommodations to employees and applicants with limitations related to pregnancy, childbirth or related medical conditions, unless the accommodation will cause undue hardship to Lamonica's operations.

Policy

Any Lamonica's employee or applicant may request an accommodation due to pregnancy, childbirth or a related medical condition by making a written request to human resources (HR). The accommodation request should include an explanation of the pregnancy-related limitations, the accommodation needed and any

alternative accommodation(s) that might be reasonable. Depending on the nature of the accommodation, the individual may be asked to submit a statement from a health care provider explaining the need for the accommodation.

Once a request for accommodation is received, HR will contact the employee or applicant to discuss the request and determine if an accommodation is reasonable and can be provided without significant difficulty or expense, i.e., undue hardship.

While the reasonableness of each accommodation request will be determined on a case-by-case basis, possible accommodations include allowing the employee or applicant to:

- Sit while working.
- Drink water during the workday.
- Receive closer parking to the facility.
- Have flexible hours.
- Receive appropriately sized uniforms and safety apparel.
- Receive additional break time to use the bathroom, eat and rest.
- Take time off to recover from childbirth.
- Be excused from strenuous activities and/or activities that involve exposure to compounds deemed unsafe during pregnancy.

An employee may request paid or unpaid leave as a reasonable accommodation under this policy; however, Lamonica's will not require an employee to take time off if another reasonable accommodation can be provided that will allow the employee to continue to work.

Lamonica's prohibits any retaliation, harassment or adverse action due to an individual's request for an accommodation under this policy or for reporting or participating in an investigation of unlawful discrimination under this policy.

NEW YORK PAID FAMILY LEAVE BENEFITS

New York employees who work 20 hours or more per week for 26 weeks are eligible for Paid Family Leave (PFL). Employees who work less than 20 hours per week are eligible for PFL after completing 175 days of employment. Time spent on vacation or sick days will be counted toward an employee's eligibility determination.

Eligible employees may take a maximum of twelve (12) weeks of PFL, in accordance with the New York Paid Family Leave Benefits Law. This leave can be taken either all at once or intermittently but must be taken in full-day increments. You may take the maximum time-off benefit in any given 52- week period.

PFL benefits for New York employees will be up to 12 weeks at 67% of the employee's average weekly wage or 67% of the State's average weekly rate, whichever is lower.

The average weekly wage is determined by New York State and is periodically adjusted by the State. The State's current average weekly wage (2024) is \$1,718.15, which means the maximum weekly benefit is \$1,151.16 per week. For 2024, an employee's payroll contribution will be 0.373% of gross wages for the pay period and is capped at an annual maximum of \$333.25.

PFL may be taken for the following reasons, and in some circumstances, may be taken intermittently:

- to provide care for a spouse or domestic partner, child or stepchild, sibling, parent or stepparent, grandchild, grandparent or parent of a spouse or domestic partner because of the family member's serious health condition.
- to bond with their child during the first 12 months after the child's birth, or during the first 12 months after placement of the child for adoption or foster care; or
- to attend to obligations arising because the spouse, domestic partner, child or parent of the employee is on active duty or has been notified of an impending call to active duty in the United States armed forces.
- To care for your minor child or yourself while under an order of quarantine or isolation due to COVID-19.

PFL may not be taken for the employee's own disability or health condition.

Employees on leave are eligible to receive wage replacement benefits through the state-sponsored Paid Family Leave Benefits program for part or all of the leave. This leave is funded by employee payroll deductions and administered by ShelterPoint Life Insurance Company. The amount of an employee deduction depends on the employee's average weekly wage. The maximum employee contribution is \$8.14 per week, which will be adjusted by New York State periodically. The amount of any deduction taken will be reflected on an employee's paystub. Employees may also contact Human Resources with questions.

Employees must provide at least 30 days advance notice to the Company where the need for leave is foreseeable, otherwise employees must provide notice as soon as practicable. The notice should include the timing and duration of the leave and should identify the type of family leave needed. Failure to provide timely notice may result in a partial denial or delay in an employee's receipt of PFL.

Employees are also required to provide documentation supporting the need for leave, such as approved certification forms and proof of eligibility for PFL (i.e. birth certificate for bonding leave, adoption or foster care paperwork, medical note, etc.). An employee will be informed about specific required documentation upon the Company's receipt of notice of the need for leave from the employee.

Where both spouses work for the Company, the Company is not required to provide PFL to both employees at the same time to care for the same family leave recipient, or to bond with a child, but will consider requests to do so and grant them as long as having both employees out at the same time is feasible.

The Company will continue making contributions to employee group health benefits during the leave on the same terms as if employees had continued to actively work. This means that if employees want their benefits coverage to continue during their leave, they must also continue to make the same premium payments that they are now required to make for themselves or their dependents. Failure to make timely payments may result in termination of health insurance coverage.

When leave qualifies as family leave under both PFL and the Family and Medical Leave Act ("FMLA"), leave entitlements under both laws will run concurrently, and may not be stacked. Employees may not receive more than the maximum family leave available under either the PFL or the FMLA, as applicable.

If you are unable to work and qualify for Workers' Compensation Benefits, you may not use Paid Family Leave benefits at the same time as you are receiving Workers' Compensation benefits. If you are receiving reduced earnings, you may be eligible for Paid Family Leave. Please check with Human Resources.

An employee may choose to use, but is not required to use, available vacation, paid time off and paid sick time in order to receive full pay during such PFL leave period, in which case the employees will receive no greater compensation than their regular compensation during the PFL leave.

While on PFL, employees will not continue accrue vacation time.

Under most circumstances, employees who return to work as scheduled at the end of PFL will be reinstated to the same position they held at the time of the leave or to a comparable position with comparable benefits, pay and other terms and conditions of employment.

Employees who fraudulently obtain PFL from the Company are not protected by the PFL's job restoration or maintenance of health benefits provisions and may be subject to disciplinary action, up to and including termination of employment.

The Company takes its PFL obligations very seriously and will not interfere, restrain or deny the exercise of any rights provided by the PFL. We will not terminate or discriminate against any individual for opposing any practice, or because of involvement in any proceeding related to the PFL. If an employee believes that his or her PFL rights have been violated in any way, he or she should immediately report the matter to Human Resources.

OTHER DISABILITY LEAVES

In addition to medical disability leave described in the sections of this Leaves of Absence policy titled "Family Care and Medical Leave" and "Pregnancy-Related Disability for California Employees," if applicable, employees may take a temporary disability leave of absence if necessary, to reasonably accommodate a workplace injury or an ADA-qualified disability. Any disability leave under this Section may run concurrently with any medical leave to which the employee is entitled under the Family Care and Medical Leave section of this policy. Disability leaves under this section will be unpaid. Employees taking disability leave must comply with the Family Care and Medical Leave provisions regarding substitution of paid leaves, notice and medical certification. For the purpose of applying these provisions, a disability leave will be deemed to be a medical leave.

If a disability leave under this section extends beyond 12 weeks in a 12-month period, the employee will not be entitled to any continued employer contributions towards any employee benefit plan. An employee, however, may elect to continue participating in such benefit plans, at the employee's own expense, to the extent permitted by such plans.

The duration of a leave under this section shall be consistent with applicable laws but in no event shall the leave extend past the date on which an employee becomes capable of performing the essential functions of his or her position, with or without reasonable accommodation. For a full explanation of leave duration and reinstatement rights, employees should contact the Personnel Office.

MILITARY LEAVE OF ABSENCE

Lamonica's is committed to protecting the job rights of employees absent on military leave. In accordance with federal and state law, it is Lamonica's policy that no employee or prospective employee will be subjected to any form of discrimination on the basis of that person's membership in or obligation to perform service for any of the uniformed services of the United States. Specifically, no person will be denied employment, reemployment, promotion or other benefit of employment on the basis of such membership. Further, no person will be subjected to retaliation or adverse employment action because such person has exercised his or her rights under

applicable law or this policy. If any employee believes that he or she has been subjected to discrimination in violation of this policy, the employee should immediately contact the Human Resources Department.

Eligibility

Employees taking part in a variety of military duties are covered under this policy. Such military duties include leaves of absence taken by members of the uniformed services, including active duty, reserve or National Guard, for training, periods of active military service and funeral honors duty, as well as time spent being examined to determine fitness to perform such service. Subject to certain exceptions under the law, these benefits are generally limited to five years of leave of absence.

Unpaid

This leave will be unpaid unless otherwise dictated by applicable state or federal law.

Procedures for Military Leave

Unless military necessity prevents it, or is otherwise impossible or unreasonable, an employee should provide Lamonica's with notice of the need for leave as far in advance as is reasonable under the circumstances.

To request a temporary or extended military leave of absence, the employee should generally obtain a request for leave of absence form from HR. Written notice is preferred, but not required under the law or this policy.

HR will review the request for leave of absence, collect any applicable insurance premiums from the employee, generate other applicable documents and process the leave of absence accordingly. In the event of verbal notice by the employee, HR will document the military leave on a leave of absence form.

Employees on temporary or extended military leave may, at their option, use any or all accrued paid vacation during their absence.

When the employee intends to return to work, he or she must notify HR at least one week before the desired return date. If the employee does not intend to return to work, he or she should notify HR as soon as possible.

Benefits

If an employee is absent from work due to military service, health insurance coverage will continue for the employee and covered dependents under the same terms and conditions for the entirety of the leave. The employee must pay, per pay period, the premium normally paid by the employee.

Employees do not accrue vacation or sick leave while on military leave of absence status.

With respect to Lamonica's retirement plan, upon reemployment, employees who have taken military leave will be credited for purposes of vesting with the time spent in military service and will be treated as not having incurred a break in service. Immediately upon reemployment, the employee may, at the employee's election, make any or all employee contributions that the employee would have been eligible to make had the employee's employment not been interrupted by military service. Such contributions must be made within a period that begins with the employee's reemployment and that is not greater in duration than three times the length of the employee's military service. Employees will receive all associated company match for such contributions.

Reemployment

Upon return from leave, employee will be reinstated to employment in the following manner depending upon the employee's period of military service:

Less than 91 days of military service – reinstated to a position that the employee would have attained if employment had not been interrupted by military service; or, if found not qualified for such position after reasonable efforts by Lamonica's, in the position in which the employee had been employed prior to military service.

More than 90 days and less than 5 years of military service – reinstated to a position that the employee would have attained if employment had not been interrupted by military service or a position of like seniority, status and pay, the duties of which the employee is qualified to perform; or, if proved not qualified after reasonable efforts by Lamonica's, in the position the employee left, or a position of like seniority, status and pay, the duties of which the employee is qualified to perform.

Employee with a service-connected disability - if after reasonable accommodation efforts by the employer, an employee with a service-connected disability is not qualified for employment in the position he or she would have attained or in the position that he or she left, the employee will be employed in another position of similar seniority, status and pay for which the employee is qualified or could become qualified with reasonable efforts by Lamonica's; or, if no such position exists, in the nearest option consistent with the circumstances of the employee's situation.

Timeliness of Notice of Desire to Return to Work

An employee who has engaged in military service must, in order to be entitled to the reemployment rights stated above, notify HR of the employee's desire to return to work according to the following schedule:

If service is less than 31 days (or for the purpose of taking an examination to determine fitness for service) - the employee must report for reemployment at the beginning of the first full regularly scheduled working period on the first calendar day following completion of service and the expiration of eight hours after a time for safe transportation back to the employee's residence.

If service is for 31 days or more but less than 181 days - the employee must notify HR of the desire to return to work, no later than 14 days following the completion of service.

If service is over 180 days - the employee must notify HR of the desire to return to work, no later than 90 days following the completion of service.

If the employee is hospitalized or convalescing from a service-connected injury - the employee must notify HR of the desire to return to work, no later than two years following completion of service.

Exceptions to Reemployment

An employee is not entitled to reinstatement as described above if any of the following conditions exist:

- Lamonica's circumstances have so changed as to make reemployment impossible or unreasonable.
- Reemployment would pose an undue hardship upon Lamonica's.
- The employee's employment prior to the military service was merely for a brief, non-recurrent period and there was no reasonable expectation that the employment would have continued indefinitely or for a significant period.
- The employee did not receive an honorable discharge from military service.

General Benefits Upon Reemployment

Employees reemployed following military leave will receive seniority and other benefits determined by seniority that the employee had at the beginning of the military leave, plus any additional seniority and benefits the employee would have attained, with reasonable certainty, had the individual remained continuously employed. An employee's time spent on active military duty will be counted toward eligibility for FMLA and

other state equivalent leaves. Additionally, upon reemployment, a covered employee will not be discharged except for cause for up to one year following reemployment.

Documentation

The HR department will, upon the employee's return to employment, request that the employee provide Lamonica's with military discharge documentation to establish the timeliness of the return to employment, the duration of the military service, and the honorable discharge from the military service, if applicable.

OTHER LEGALLY REQUIRED LEAVES AND MILITARY OBLIGATIONS

Employees will be granted a leave of absence as required by law for the purpose of fulfilling any required legal or military obligation (for example, appearance as a witness in certain legal proceedings, military reserve duty). Employees are required to provide reasonable advance notice of any need for such leave and are expected to return to work each day or portion of the day that they are called as a witness.

Please contact Human Resources to obtain a complete listing of the legally required leaves of absence.

OTHER TIME OFF

Time Off to Vote

Employees who do not have sufficient time outside of their regular working hours to vote in a statewide election may request time off to vote. If possible, employees should make their request at least 2 days in advance of the election. Up to two hours of paid time off will be provided at the beginning or end of the employee's regular shift.

Jury Duty

Lamonica's provides employees with time off to serve on a jury. An employee called to jury duty should bring their notice of jury duty to Human Resources immediately after it is received so that arrangements to accommodate the employee's absence may be made. Employees are also required to notify their supervisors as soon as possible after receiving notification of jury duty.

Regular full-time employees required to serve jury duty will receive their normal pay, for a maximum of 5 work days in any one calendar year period. Exempt employees are paid for jury duty based on their base salary, and non-exempt employees are paid for jury duty based on their straight-time hourly rate for the hours they would have been scheduled to work, up to a maximum of eight (8) hours per workday.

Any jury duty that extends beyond five (5) business days per calendar year will be unpaid. However, exempt employees who work any portion of a workweek in which they also serve jury duty will receive their full salary for that workweek. Non-exempt employees may elect to substitute accrued vacation time during any unpaid time off due to jury duty (subject to all requirements in the Vacation Policy). Employees also may keep any jury fees, appearance fees, or mileage allowances paid by the court while serving on jury duty.

While serving on a jury, employees are expected to report for work whenever the court schedule permits, unless otherwise instructed by Human Resources. Employees may be required to provide the Company with written proof of jury duty.

Bereavement Leave

If you have been employed for at least 90 days you will be given five (5) days UNPAID bereavement leave for the death of a family member. For the purposes of this Bereavement Leave Policy, "family" is defined to as spouses, parents, children, brothers, sisters, aunts, uncles, brothers-in-law, sisters-in-law, parents-in-law, grandchildren, grandparents, stepparents, stepsiblings, and stepchildren.

The five days of leave need to be taken consecutively (altogether in a row). You must complete the bereavement leave within three months of the family member's date of death.

You must provide documentation of the death of the family member. We will accept a death certificate, published obituary, or written verification of death, burial, or memorial services from a mortuary, funeral home, burial society, crematorium, religious institution, or government agency. This documentation must be provided within 30 days of the first day of the requested bereavement leave.

Requests for bereavement leave should be made to the employee's immediate supervisor and HR as soon as possible.

Reproductive Loss Leave

All employees who have been employed with the Company for at least 30 days will be given five (5) days unpaid reproductive loss leave for each "reproductive loss event" experienced, up to a maximum of 20 days in a 12-month period. For the purposes of this Policy, "reproductive loss event" is defined as "the day or, for a multiple-day event, the final day of a failed adoption, failed surrogacy, miscarriage, stillbirth, or an unsuccessful assisted reproduction." Each leave must be taken within three months of experiencing the reproductive loss event, but the leave need not be taken on consecutive days. Eligible employees may choose to use any accrued and available sick leave, or other paid time off, for reproductive loss leave.

School Appearance Leave

Any parent or guardian who has been requested to appear in their child's school in connection with the child's suspension will be permitted to take the necessary time off for that purpose. The employee must give his or her supervisor and the Human Resources Office reasonable notice of the need to take time off, if possible.

The parent or guardian should receive a written notice from the school stating that he or she must attend a class. The Company may require a copy of the notice or some other certification from the school stating that the employee's presence is required.

Time off in connection with a child's suspension from school will be unpaid, except to the extent the employee chooses to use accrued vacation time for that purpose.

Unpaid School Activities Leave

The Family School Partnership Act of 1995 allows employees who are parents, grandparents, step-parents, foster parents, or a person who stands *in loco parentis* (in the place of a parent) to a child time off to participate in

their children's school activities in kindergarten through grade 12, in licensed daycare facilities, and activities conducted by a licensed childcare provider. An employee may take up to 40 hours per year of unpaid time off for school activities, not to exceed eight hours in any calendar month of the school year.

Examples of common school activities include graduations, parent-teacher conferences, special class activity days, field trips, school productions, athletic events or other competitions.

An employee may also take time off from work to (1) find, enroll, or reenroll his or her child in a school, a licensed daycare facility, or with a licensed childcare provider, and (2) address a "childcare provider or school emergency" which is defined as any of the following:

- the school or childcare provider requested that the child be picked up;
- a behavioral or discipline problem with the child that must be addressed with the school or childcare provider;
- a closure or unexpected unavailability of the school or childcare provider; or
- a natural disaster, such as an earthquake or fire, requiring that the child be kept home or picked up from the school or childcare provider.

An employee must request this time off at least one week before the activity, or as soon as reasonably possible. The supervisor or manager may ask the employee to reschedule the activity, if possible, but may not deny a request. Verification of the employee's participation may be required.

An employee may take the time as:

- Time off without pay
- Vacation

If both parents of a child are employed by the Company at the same worksite, the parent who first gives notice of his or her intention to take time off in connection with the child's school or day care facility activity will be entitled to take time off for such purpose. The other parent may be granted a simultaneous absence for the same purpose at the discretion of the Company.

The Company will not retaliate or discriminate in any way against an employee for exercising his or her rights under the Family School Partnership Act of 1995.

PAID PARENTAL LEAVE

Purpose

Lamonica's will provide up to two weeks of paid parental leave to employees following the birth of an employee's child or the placement of a child with an employee in connection with adoption or foster care. The purpose of paid parental leave is to enable the employee to care for and bond with a newborn or a newly adopted or newly placed child. This policy will run concurrently with leaves taken under the Family and Medical Leave Act (FMLA) and California Family Rights Act (CFRA), as applicable. This policy will be in effect for births, adoptions or placements of foster children occurring on or after August 28, 2020.

Eligibility

Eligible employees must meet the following criteria:

- Have been employed with the company for at least 12 months (the 12 months do not need to be consecutive).
- Have worked at least 1,250 hours during the 12 consecutive months immediately preceding the date the leave would begin.
- Be a full- or part-time, regular employee (temporary employees and interns are not eligible for this benefit).

In addition, employees must meet one of the following criteria:

- Have given birth to a child.
- Be a spouse or committed partner of a woman who has given birth to a child.
- Have adopted a child or been placed with a foster child (in either case, the child must be age 17 or younger). The adoption of a new spouse's child is excluded from this policy.

Amount, Time Frame and Duration of Paid Parental Leave

- Eligible employees will receive a maximum of two weeks of paid parental leave per birth, adoption or placement of a child/children. The fact that a multiple birth, adoption or placement occurs (e.g., the birth of twins or adoption of siblings) does not increase the two-week total amount of paid parental leave granted for that event. In addition, in no case will an employee receive more than two weeks of paid parental leave in a rolling 12-month period, regardless of whether more than one birth, adoption or foster care placement event occurs within that 12-month time frame.
- Each week of paid parental leave is compensated at 100 percent of the employee's regular, straight-time weekly pay. Paid parental leave will be paid on a biweekly basis on regularly scheduled pay dates.
- Approved paid parental leave may be taken at any time during the twelve-month period immediately following the birth, adoption or placement of a child with the employee. Paid parental leave may not be used or extended beyond this twelve-month time frame.
- In the event of a female employee who herself has given birth; the two weeks of paid parental leave will commence at the conclusion of any short-term disability leave/benefit provided to the employee for the employee's own medical recovery following childbirth.
- Employees must take paid parental leave in one continuous period of leave and must use all paid parental leave during the twelve-month time frame indicated above. Any unused paid parental leave will be forfeited at the end of the twelve-month time frame.
- Upon termination of the individual's employment at the company, he or she will not be paid for any unused paid parental leave for which he or she was eligible.

Coordination with Other Policies

- Paid parental leave taken under this policy will run concurrently with leave under the FMLA and CFRA; thus, any leave taken under this policy that falls under the definition of circumstances qualifying for leave due to the birth or placement of a child or due to adoption or foster care, the leave will be counted toward the 12-weeks of available FMLA and CFRA leave per a 12-month period. All other requirements and provisions under the FMLA and CFRA will apply. In no case will the total amount of leave—whether paid or unpaid—granted to the employee under the FMLA and CFRA exceed 12 weeks during the 12-month FMLA and CFRA period. Please refer to the Family and Medical Leave and California Family Rights Act Policy for further guidance on the FMLA and CFRA.

- After the paid parental leave (and any short-term disability leave for employees giving birth) is exhausted, the balance of FMLA and CFRA leave (if applicable) will be compensated through employees accrued sick and vacation time. Upon exhaustion of accrued sick and vacation time, any remaining leave will be unpaid leave. Please refer to the Family and Medical Leave and California Family Rights Act Policy for further guidance on the FMLA and CFRA.
- The company will maintain all benefits for employees during the paid parental leave period just as if they were taking any other company paid leave such as paid vacation leave or paid sick leave.
- If a company holiday occurs while the employee is on paid parental leave, such day will be charged to holiday pay; however, such holiday pay will not extend the total paid parental leave entitlement.
- If the employee is on paid parental leave when the company offers administrative leave (known as an “admin day”), that time will be recorded as paid parental leave. Administrative leave will not extend the paid parental leave entitlement.
- An employee who takes paid parental leave that does not qualify for FMLA or CFRA leave will be afforded the same level of job protection for the period of time that the employee is on paid parental leave as if the employee was on FMLA or CFRA-qualifying leave.

Requests for Paid Parental Leave

- The employee will provide his or her supervisor and the human resource department with notice of the request for leave at least 30 days prior to the proposed date of the leave (or if the leave was not foreseeable, as soon as possible). The employee must complete the necessary HR forms and provide all documentation as required by the HR department to substantiate the request.
- As is the case with all company policies, the organization has the exclusive right to interpret this policy.

VACATION

The Company provides vacation benefits to all full-time, regular employees, and part-time regular employees working between 20 and 29 hours a week, for the purpose of giving them a period of rest and relaxation away from work with pay. Accordingly, eligible employees are encouraged to use all vested vacation benefits during the year. Regular part-time employees working less than 20 hours a week and temporary employees are not eligible to receive vacation benefits.

Vacation Requests, Approval, And Scheduling

All vacations must be approved in advance. Vacations requests will be approved or denied by Company management, and Company management has sole and absolute discretion to approve or deny such requests. It is possible, for example, that vacations may not be approved during exceptionally busy times. Management will make decisions about the amount of vacation time approved and the scheduling of that vacation time in a manner consistent with the Company's operational requirements.

Vacation requests should be submitted by employees to their immediate supervisors for approval at least two weeks prior to the commencement of a vacation period; however, those employees who report directly to John Lamonica should submit their vacation requests at least four weeks prior to the commencement of their vacation periods. In the event that two or more employees have requested vacations covering the same period and may not be absent simultaneously, preference shall ordinarily be given to the employee who made the request first or, in the event the requests are made at the same time, then the employee who has the greater length of service.

Blackout Periods

Lamonica's reserves the right to identify "blackout periods" where vacation requests shall require the written approval of the President (John Lamonica). Standard blackout periods include audit window periods (applicable only to factory line workers, leads, supervisors and members of the audit team), mandatory staff trainings (applicable to all Lamonica's employees) and the last two weeks of the calendar year—December 24th-January 4th (applicable only to office personnel working in Westwood). In the event that a "black out period" must be added to the calendar, at least 14 calendar days written notice shall be given prior to the implementation of said black out period.

Accrual

Regular Full-Time Employees

For all regular full-time employees, vacation accrues according to the following schedule:

First Year of Employment:

No vacation benefits accrue during the first 6 months of service with the Company. The seventh through the twelfth month of continuous service, qualified employees shall accrue vacation at a rate of 6.16 hours (3.08 for NY employees) per pay period, for a total accrual of 10 working days (80 hours) of vacation at the end of the first twelve months of employment.

Second and Third Years of Employment:

The second and third years of continuous employment, qualified employees accrue vacation at a rate of 3.08 hours (1.54 for NY employees) per pay period of regular full-time employment with the Company, for an annualized maximum accrual of 10 working days (80 hours) of vacation each year of employment.

Fourth Through Tenth Years of Employment:

The fourth through tenth years of continuous employment, qualified employees accrue vacation at a rate of 4.615 hours (2.3075 for NY employees) per pay period of regular full-time employment with the Company, for an annualized maximum accrual of 15 working days (120 hours) of vacation each year of employment.

Eleventh Year of Service and Beyond:

Beginning the eleventh year of regular full-time employment with the Company, qualified employees accrue vacation at a rate of 6.15 hours (3.075 for NY employees) per pay period of regular full-time employment with the Company, for an annualized maximum accrual of 20 working days (160 hours) of vacation each year of employment.

Managers

Manager level employees and above will receive one additional week (five days or 40 hours) of vacation each year in addition to the allotments listed above. Vacation for managers will accrue according to the following schedule:

First Year of Employment:

No vacation benefits accrue during the first 6 months of service with the Company. The seventh through the twelfth month of continuous service, qualified employees shall accrue vacation at a rate of 9.23 hours (4.615 for

NY employees) per pay period, for a total accrual of 15 working days (120 hours) of vacation at the end of the first twelve months of employment.

Second and Third Years of Employment:

The second and third years of continuous employment, qualified employees accrue vacation at a rate of 4.615 hours (2.3075 for NY employees) per pay period of regular full-time employment with the Company, for an annualized maximum accrual of 15 working days (120 hours) of vacation each year of employment.

Fourth Through Tenth Years of Employment:

The fourth through tenth years of continuous employment, qualified employees accrue vacation at a rate of 6.15 hours (3.075 for NY employees) per pay period of regular full-time employment with the Company, for an annualized maximum accrual of 20 working days (160 hours) of vacation each year of employment.

Eleventh Year of Service and Beyond:

Beginning the eleventh year of regular full-time employment with the Company, qualified employees accrue vacation at a rate of 7.693 hours (3.8465 for NY employees) per pay period of regular full-time employment with the Company, for an annualized maximum accrual of 25 working days (200 hours) of vacation each year of employment.

Part-Time Employees

For all regular part-time employees, vacation accrues according to the following schedule: No vacation benefits accrue during the first six months of employment with the Company.

Beginning the seventh month of continuous employment, qualified employees shall accrue vacation at a rate of 1.54 hours (.77 for NY employees) per pay period, for a total accrual of 40 hours of vacation at the end of each full year of employment, except for the first year of employment during which the employee will accrue 20 hours of vacation.

Vacation Cap

Notwithstanding any other provisions of this policy, an employee may only earn and accrue vacation equivalent to two times the employee's annual vacation accrual. If the employee reaches this vacation cap, the employee shall not earn or accrue additional vacation unless and until he or she uses vacation time reducing the amount of accrued unused vacation below the vacation cap. At that point, the employee will resume earning vacation, prospectively, at the accrual rates set forth in the section of this policy entitled "Accrual," until he or she again reaches the vacation cap. In other words, this process repeats itself if and whenever the employee's accrued unused vacation reaches the applicable vacation cap.

Rate of Pay

Exempt employees are paid vacation time based on their base salaries. Full-time and part-time, non-exempt employees will be paid vacation at their current straight-time hourly rate for the hours they would have been scheduled to work, up to a maximum of eight (8) hours a day. Vacation time will not be counted as hours worked for the purpose of determining overtime.

Leaves of Absence

Vacation will not accrue during a leave of absence. Vacation accruals recommence when the employee returns to work.

Holidays

If a holiday falls during a regular full-time employee's vacation, the employee will receive holiday benefits for the day and no charges will be made against his or her accrued vacation.

No Pay in Lieu of Vacation

Employees may not be paid in lieu of taking vacation days earned, except at the time of termination. Upon termination of employment for any reason, employees shall be paid at their final rate of pay for any unused accrued vacation time earned as of the last day of their employment.

HOLIDAY PAY

Regular, full-time, non-exempt employees of Lamonica's Pizza Dough International, Inc. are eligible for holiday pay after six months of employment. Exempt employees are eligible for holiday pay beginning their first day of employment. Employees of Lamonica's New York Pizza Co., Inc. are not eligible for holiday pay.

Lamonica's observes and pays for the following holidays: New Year's Day, Memorial Day, Easter, Fourth of July, Labor Day, Thanksgiving Day, and Christmas Day. In addition, Lamonica's may choose to designate, in its sole discretion, another specific calendar date as a holiday that applies to all employees.

Lamonica's may, and usually does, require some or all employees to work on Company-observed holidays. Non-exempt employees required to work on a Company-observed holiday, if otherwise eligible for holiday pay, will be paid their regular hourly rate for hours worked plus the holiday pay (eight hours of straight time) for that day. Exempt employees will receive no extra compensation if they work on a Company-observed holiday.

Employees who are on a leave of absence are ineligible for holiday benefits.

LACTATION ACCOMMODATION

The Company will comply with applicable laws to provide employees who are nursing mothers with a reasonable amount of time each day to express breast milk for their infant children after each child's birth ("Lactation Breaks").

Each employee will be provided with the use of a private room or other location, in close proximity to the employee's work area, for Lactation Breaks. This room or other location will be safe, clean and hazard-free and will contain access to electricity for electric breast pump operation, a surface suitable for holding breast pump(s) and personal items as well as seating for the employee. In addition, the Company will provide each employee with access to a sink with running water and a cooling device suitable for storing milk in close proximity to the employee's work area.

The Lactation Breaks will, when possible, run concurrently with any break time already provided to the employee. If any additional time is needed, an employee may take unpaid time off. If applicable state or local law provides greater protections for Lactation Breaks, the Company will comply. Questions about Lactation Breaks should be directed to the Human Resources Department. If desired, an employee may report violations

concerning the Company's obligation to provide Lactation Breaks in accordance with the above to the California Labor Commissioner or the NYC Commission on Human Rights.

Lactation Accommodation Request Process

Before an employee returns from parental leave, the Company will resend this policy to the employee in writing (electronically or by mail) and request information from the employee regarding the need for a reasonable accommodation to express breast milk at work.

Employees may also independently request a lactation accommodation by contacting the Human Resources Department. A request may be made orally or in writing to the Human Resources Department and should indicate that the employee will need accommodations for expressing breast milk at work.

The Human Resources Department will respond to a request for a lactation accommodation as quickly as possible. Under no circumstances will this amount of time exceed five (5) business days. During the time it takes to respond to a request and/or engage in a cooperative dialogue to determine the accommodation, the Company will provide a temporary accommodation to the employee so that the employee can pump in a manner that meets the employee's immediate needs, unless that poses an undue hardship for the Company.

The Company recognizes that employees' lactation accommodation needs may change over time. Employees may request changes to their existing lactation accommodation at any point.

RESOLUTION OF EMPLOYEE COMPLAINTS

This section applies to any employee who has a complaint or problem relating to wages, assignments or other conditions, or is dissatisfied about the interpretation or application of a work-related policy by management, supervision, or other employees. Hopefully, most matters can be satisfactorily resolved by an informal discussion between the employee and the employee's supervisor. However, the Company believes that employees should have an opportunity, when appropriate and practical, to present their work-related complaints through a grievance procedure.

If the employee believes a problem requires further attention, the employee may request a formal meeting with a higher level of management by following this three-step grievance procedure:

Step One: The employee should bring the grievance to the attention of the employee's immediate supervisor within five working days of the incident being grieved. If the grievance involves the employee's immediate supervisor, then the employee can begin the process with Step Two. The supervisor should make efforts to investigate the grievance and review it with their superior.

Step Two: If the employee is not satisfied with the supervisor's response, the employee may appeal the decision to the Personnel Office. Such an appeal must be made within 3 working days of the Step One decision and must be made in writing. The Personnel Office will confer with both the employee and the supervisor as well as any other member of the Company they feel appropriate and investigate the issues.

The decision of the Personnel Office is final and conclusive for all parties. When appropriate, the decisions will be retroactive to the date of the employee's original grievance.

The Company will attempt to treat all internal complaints and their investigation with due regard for confidentiality, recognizing, however, that in the course of investigating and resolving internal complaints some dissemination of information may be necessary or appropriate.

SOLICITATION POLICY

The Company recognizes that employees may have interests in events and organizations outside the workplace. However, to avoid interruption and to protect employees from unnecessary annoyances, employees may not solicit or distribute literature concerning such events during working time. Employees may engage in solicitation on Company premises only during their nonworking time. Employees may engage in distribution of literature only during their nonworking time and only in nonworking areas. Nonworking time includes time during meals or breaks and before or after work. If an employee is not certain whether an area is a work or non-work area, he or she should consult his or her immediate supervisor for clarification.

Solicitation or distribution in any way connected with the sale of any goods or services for profit is strictly prohibited anywhere on Company property at any time. Similarly, solicitation or distribution of literature for any purpose by non-employees is strictly prohibited on the Company's property at any time.

The Company has bulletin boards located throughout the Company facilities for the purpose of communication with employees. Postings on these boards are limited to Company-related material including statutory and legal notices, safety and disciplinary rules, Company policies, memos of general interest relating to the Company, local operating rules, and other items. No postings will be permitted for any other purpose. All postings require the prior approval of the employee's supervisor.

DRUG-FREE WORKPLACE

Purpose of Policy

It is the intent of the Company to maintain a workplace that is free of drugs and alcohol and to discourage drug and alcohol abuse by its employees. Employees who are under the influence of a drug or alcohol on the job compromise the Company's interests, endanger their own health and the health and safety of others, and can cause a number of other work-related problems, including absenteeism and tardiness, substandard job performance, increased workloads for coworkers, behavior that disrupts other employees, delays in the completion of jobs, inferior quality in products or services, and disruption of customer relations.

To further its interest in avoiding accidents, to promote and maintain safe and efficient working conditions for its employees, and to protect its business, property, equipment, and operations, the Company has established this policy concerning the use of alcohol and drugs and testing for same.

Definitions

For purposes of this policy:

"Illegal drugs or other controlled substances" means any drug or substance that is not legally obtainable, is legally obtainable but has not been legally obtained or has been legally obtained but is being sold or distributed unlawfully.

"Legal drug" means any drug, including any prescription drug or over-the-counter drug, that has been legally obtained and that is not unlawfully sold or distributed.

"Abuse of any legal drug" means the use of any legal drug for any purpose other than the purpose for which it was prescribed or manufactured, or in a quantity, frequency, or manner that is contrary to the instructions or recommendations of the prescribing physician or manufacturer.

"Possession" means that an employee has the substance on his or her person or otherwise under his or her control.

Prohibited Conduct

The prohibitions stated in this policy apply whenever the interests of the Company may be adversely affected, including any time the employee is:

1. On Company premises;
2. Conducting or performing Company business, regardless of location;
3. Operating or responsible for the operation, custody, or care of Company equipment or other property; or
4. Responsible for the safety of others in connection with, or while performing, Company-related business.

A. Alcohol

Except for the moderate use of alcohol at authorized Company-sponsored events or business-related dinners or functions, the use or possession of alcohol in the workplace or being under the influence of alcohol while conducting Company business is strictly prohibited.

B. Illegal Drugs

The following acts are prohibited and subject an employee to discharge:

- The use, possession, purchase, sale, manufacture, distribution, transportation, or dispensation of any illegal drug or other controlled substance; or
- Being under the influence of any illegal drug or other controlled substance.

C. Legal Drugs

The following acts are prohibited and subject an employee to discharge:

- The abuse of any legal drug and the purchase, sale, manufacture, distribution, transportation, dispensation, or possession of any legal prescription drug in a manner inconsistent with law; or
- Working while impaired by the use of a legal drug whenever such impairment might:
 - a) Endanger the safety of the employee or some other person;
 - b) Pose a risk of significant damage to Company property or equipment; or
 - c) Substantially interfere with the employee's job performance or the efficient operation of the Company's business or equipment.

Searches

In order to ensure compliance with this policy, the Company may conduct searches of its offices and facilities, including but not limited to searches of property in the parking area, work areas desks, and lockers as well as the employee's property (including, but not limited to backpacks, purses and cars) on the Company's interior and exterior premises.

Disciplinary Action

A. Discharge for Violation of Policy

A first violation of this policy will result in immediate discharge, whenever the prohibited conduct:

- Caused injury to the employee or any other person, or, in the sole opinion of management, endangered the safety of the employee or any other person;
- Resulted in damage to Company property or equipment, or, in the sole opinion of management, posed a risk of significant damage;
- Involved the sale or manufacture of illegal drugs or other controlled substances.

In circumstances other than those described above in this subsection, the Company will exercise its discretion to determine whether to terminate an employee for a first violation of this policy. In addition to termination, disciplinary action for a violation of this policy may include, but is not limited to, suspension, demotion and/or counseling.

B. Discretion Not to Discharge

In circumstances other than those described above in the section titled "Discharge for Violation of Policy," the Company may choose not to discharge an employee for a first violation of this policy if the employee satisfactorily completes participation in an approved drug or alcohol abuse assistance or rehabilitation program. A second violation of this policy at any time will result in immediate discharge.

C. Effect of Criminal Conviction

An employee who is convicted under a criminal drug statute for a violation occurring in the workplace or during any Company-related activity or event will be deemed to have violated this policy.

Use of Prescribed and Over-the-Counter Medications ("Legal Drugs")

The Company recognizes that employees may, from time to time, take over-the-counter or be prescribed medications that, when taken as prescribed or according to the manufacturer's instructions, may result in their impairment.

Employees may not work while impaired by the use of legal drugs if the impairment might endanger the employee or someone else, pose a risk of significant damage to Company property, or interfere with the employee's job performance. If an employee is so impaired by the appropriate use of legal drugs, he or she may not report to work. To accommodate the absence, the employee may use accrued sick leave or vacation time. The employee may also contact his or her supervisor to determine whether or not he or she qualifies for an unpaid leave of absence, such as family care or medical leave. Nothing in this policy is intended to diminish the Company's commitment to employ and reasonably accommodate qualified disabled individuals. The Company will reasonably accommodate qualified disabled employees who must take legal drugs because of their disabilities.

Marijuana may not be used while on the Company's premises or while performing Company business, regardless of location. It is a violation of this policy for an individual to be under the influence or in possession of marijuana while on the Company's premises or while performing Company business, regardless of location.

Unregulated or Authorized Conduct

A. Customary Use of Over-the-Counter Drugs

Nothing in this policy is intended to prohibit the customary and ordinary purchase, sale, use, possession, or dispensation of over-the-counter drugs, so long as that activity does not violate any law or result in an employee being impaired by the use of such drugs in violation of this policy.

B. Off-the-Job Conduct

This policy is not intended to regulate off-the-job conduct, so long as the employee's off-the-job use of alcohol or drugs does not result in the employee being under the influence of or impaired by the use of alcohol or drugs in violation of this policy.

Confidentiality

Disclosures made by employees to the Human Resources Office concerning their use of legal drugs will be treated confidentially and will generally not be revealed to supervisors unless there is an important work-related reason to do so. Disclosures made by employees to the Human Resources Office concerning their participation in any drug or alcohol rehabilitation program will be treated confidentially to the extent legally required.

Counseling/Employee Assistance

Employees who suspect they may have alcohol or drug problems, even in the early stages, are encouraged to voluntarily seek diagnosis and follow through with any treatment as prescribed by qualified professionals. Employees who wish to voluntarily enter and participate in an approved alcohol or drug rehabilitation program are encouraged to contact the Human Resources Office which will determine whether the Company can accommodate the employee by providing unpaid leave for the time necessary to complete participation in the program. Employees should be aware that participation in a rehabilitation program will not necessarily shield them from disciplinary action for a violation of this policy.

Drug Testing

A. Post-Offer, Pre-Employment Testing

As part of the Company's employment screening process, all candidates who have received a written offer of employment will be required to undergo testing for commonly abused controlled substances in accordance with this policy. The drug test will not include marijuana.

Any employee subject to testing under this policy will be asked to sign a form acknowledging the procedures governing testing and consenting to (1) the collection of a urine sample for the purpose of determining the presence of alcohol or drugs, and (2) the release to the Company of medical information regarding the test results.

a. Testing Methods and Procedure

All testing will be conducted by a licensed independent medical laboratory which will follow testing standards in accordance with state law. Testing will be conducted on a urine sample provided by the candidate to the testing laboratory under procedures established by the laboratory to ensure privacy of the employee, while protecting

against tampering/alteration of the test results. Candidates must advise the testing lab of all prescription drugs taken in the past month before the test and be prepared to show proof of such prescriptions to testing lab personnel.

Lamonica's will pay for the cost of the testing, including the confirmation of any positive test result by Gas Chromatography-Mass Spectrometry (GC-MS) or Liquid Chromatography-Mass Spectrometry (LC-MS). The testing lab will retain samples in accordance with state law, so that a candidate may request a retest of the sample at his or her own expense if he or she disagrees with the initial test result.

b. Refusal to Consent to or Undergo Testing

Candidates who fail to sign the agreement and consent form or refuse to submit to a drug test will no longer be considered for employment and any offer of employment will be rescinded.

c. Positive Test

If a candidate tests positive on an initial screening test, the test will be confirmed using GC-MS or LC-MS. On receipt of the second positive confirmation test, the employment offer may be formally withdrawn, and the candidate will be provided with a copy of the test results and the reason why he or she is no longer being considered for employment.

d. Right to Explain Test Results

All candidates have the right to meet with the testing laboratory personnel and with the Company to explain their test results. These discussions will be considered confidential except that information disclosed in such tests will be communicated to personnel within the Company or within the lab who need to know such information to make proper decisions regarding the test results or employment of the individual.

e. Retesting

Candidates may request a retest of the original sample within five working days after notification of a positive test result. This retest will be paid for by the candidate, unless the original test result is called into question by the retest.

f. Re-Application and Rehire

Individuals who are rehabilitated drug users or engaged in a supervised drug rehabilitation program and are no longer using drugs may be protected under the Americans with Disabilities Act. Therefore, the Company will consider the applications of candidates who formerly tested positive for drugs if candidates can show evidence of rehabilitation and compliance with this policy.

g. Right to Review Records

Lamonica's will provide a copy of test results upon written request to candidates who test positive.

h. Confidentiality

All records concerning test results will be kept in confidential medical files that are maintained separately from Lamonica's personnel files.

B. Reasonable Suspicion Testing

An employee may be required to submit to a drug test when there is a reasonable suspicion, based upon objective and observable evidence, that he or she is under the influence of drugs and/or alcohol. Examples of objective and observable evidence include:

- Odors (smell of alcohol, body odor or urine).
- Movements (unsteady, fidgety, dizzy).
- Eyes (dilated, constricted or watery eyes, or involuntary eye movements).
- Face (flushed, sweating, confused or blank look).
- Speech (slurred, slow, distracted mid-thought, inability to verbalize thoughts).
- Emotions (argumentative, agitated, irritable, drowsy).
- Actions (yawning, twitching).
- Inactions (sleeping, unconscious, no reaction to questions).

When reasonable suspicion testing is warranted, both management and HR will meet with the employee to explain the observations and the requirement to undergo a drug and/or alcohol test within two hours. The Company will refer the employee to a duly authorized testing facility which will administer a blood, urine or other screening test for drugs and/or alcohol. The Company will pay for the cost of the test. The employee will have the opportunity to alert the clinic or laboratory personnel to any prescription or non-prescription drugs that he or she has taken that may affect the outcome of the test.

C. Post-Accident Testing

Employees are subject to testing when they cause or contribute to accidents that damage a Company vehicle, machinery, equipment or property or that result in an injury to themselves or another person(s) requiring offsite medical attention and there is a reasonable suspicion based upon objective and observable evidence (see examples above), that he or she is under the influence of drugs and/or alcohol. In any of these instances, the investigation and subsequent testing must take place within two hours following the accident, if not sooner.

Drug testing will be required of truck drivers in post-accident situations pursuant to the Federal Motor Carrier Safety Administration regulations. *See* 49 CFR § 382.303.

D. Random Drug Testing (Truck Drivers)

Truck drivers are also subject to random drug testing pursuant to FMCSA Consortium random pool. *See* 49 CFR § 382.305.

E. Refusal to Consent to or Undergo Testing

Subject to any limitations imposed by law, a refusal to submit to such a drug and/or alcohol test is considered to be insubordination and may result in corrective action, up to and including termination of employment.

Under no circumstances will the employee be allowed to drive himself or herself to the testing facility. A member of management must transport the employee or arrange for transportation (cab, Uber, Lyft) and arrange for the employee to be transported home.

PERSONNEL FILE

The employee has the right to inspect his or her personnel file at reasonable times, at a reasonable place, and on reasonable advance notice to the Personnel Office. In addition, employees may request copies of all employment-related documents that they have signed.

TELEPHONE, MAIL AND OTHER COMMUNICATION

Company Telephones

Employees may use Company telephones to make and receive occasional personal calls, but such calls should be short and may only be made or received during break times. Company phones should not be used to make personal long-distance or out of country calls unless prior approval has been given by management. Any charges the Company incurs for personal long-distance or out of country calls must be reimbursed to the Company immediately.

Personal Cellular Telephones

Factory employees may not carry personal cellular phones on their person in any working areas of any factory. Factory employees must leave their personal cellular phones in their lockers or cars. Exceptions to this apply to managers, supervisors, and leads.

Office employees, factory employees working in office space within the factory (as opposed to working in the warehouse, production or packaging areas), factory maintenance staff, truck drivers and pizzeria employees may have cellular phones on their person during work hours as long as the phones are set to silent or vibrate.

Cellular phones may be used during meal and rest breaks in non-working areas, e.g., break rooms or outside of the plant.

Exceptions will be made for personal cellular phone use during working hours in circumstances demanding immediate attention, in the case of an emergency or an “emergency condition”.

Any emergency condition is defined as follows:

- Conditions of disaster or extreme peril to the safety of persons or property at the workplace, caused by natural forces or a criminal act.
- An order to evacuate a workplace, worksite, worker's home, or the school of the worker's child due to a natural disaster or criminal act.

The Company is not responsible for lost, stolen or damaged personal cellular phones brought into the workplace.

Company Cellular Phones

Company cellular phones may be provided to some employees, at the Company’s sole discretion, to assist them in performing their job duties. Such cellular phones are Company property. Although employees may be asked to assign passwords to their Company cellular phones to prevent unauthorized access, the passwords do not affect the Company’s ownership of the cellular phones or the Company’s ability to monitor the cellular phones use and data.

Each shift in each factory located in California will be assigned one Company cellular phone for use by the Shift Supervisors only.

The use of Company cellular phones is subject to all Company policies, including but not limited to, the Company Technology Resources and Rights of Inspection Policy and Policy Against Harassment and all employee obligations pursuant to the Confidentiality Agreement.

Employees are generally prohibited from using Company-issued cellular phones to conduct personal business. Employees who are provided a Company cellular phone may use the phone for personal reasons only in the case of an emergency, and the employee must report this use to the Human Resources Department within 48 hours of such use. Other personal use is prohibited.

Cellular Phones While Driving

Employees are required to comply with all state and local laws regarding the use of wireless phones while driving for business purposes. To be safe while driving, cellular phone calls should be used for brief conversations using hands-free technology only, and no texting is allowed. Cellular phone use is prohibited while driving in adverse weather conditions or difficult traffic conditions.

Under no circumstances are employees allowed to place themselves at risk to fulfill business needs. Employees who are charged with traffic violations resulting from the use of their personal or Company-issued cellular phones while driving will be solely responsible for all liabilities that result from such actions.

COMPANY TECHNOLOGY RESOURCES AND RIGHTS OF INSPECTION POLICY

The Company provides various Technology Resources to authorized employees to assist employees in performing their job duties for the Company. "Technology Resources" refers to all Company computers and workstations; operating systems; storage media; mini and mainframe computers; laptop computers; computer hardware such as disk drives; peripheral equipment such as printers, modems, scanners, fax machines, and copiers; computer software applications and associated files and data, including software that grants access to external services, such as the Internet; timecard access records; telephones; voicemail systems; electronic mail systems; cellular telephones; pagers; personal digital assistant devices; portable computer devices; iPads; personal organizers and other electronic wireless communication devices; digital cameras; and video recorders. This policy applies to any information that is transmitted through Company-owned, leased or licensed circuits, networks, facilities, hardware and devices. The Company's Technology Resources are its property, and there are special rules that apply to the Technology Resources as set forth below.

The Company's Technology Resources are to be used by employees to facilitate Company business. Incidental personal use of the Company's Technology Resources during non-working time, such as making a personal telephone call, sending a personal e mail or visiting an Internet site, is permitted so long as it does not interfere with job performance and is otherwise in compliance with this policy. The Company has sole discretion to determine whether incidental personal use of the Company's Technology Resources is interfering with job performance.

An employee's use of the Company's Technology Resources is subject to the same policies regarding harassment and discrimination as are any other workplace activities. Offensive, harassing or discriminatory content will not be tolerated by the Company. Content that is considered offensive includes, but is not limited

to, any message which contains sexual implications, racial slurs, gender - specific comments, or any other statement that offensively addresses someone's age, sex, sexual orientation, pregnancy status, marital status, domestic partner status, religious or political beliefs, ancestry, national origin, citizenship, disability or any other category protected by law.

The Company specifically reserves the right to access, monitor and inspect the contents of, and data stored in, all of its Technology Resources at any time for any reason, in its sole discretion. **Employees should understand that they have no right of privacy with respect to any messages or information created, maintained, received or stored on the Company's Technology Resources, even if those devices require a personal password to use or access or if the information has been deleted.** All email, text and voicemail messages sent and received, including personal messages, all Internet sites visited, any images and videos viewed or sent, and all data and information stored on the Company's Technology Resources may be accessed, monitored and inspected by the Company and are its property, regardless of content. This includes, for the avoidance of doubt, information that may reside on a computer, wireless telephone, or other device that may be owned by the employee, but that is transmitted and/or stored using the Company's Technology Resources (such as a Company email address). If any employee uses a Company Technological Resource for personal use, he or she does so with the express notice that the Company has the right to access, monitor and inspect all information contained on its Technology Resources, including but not limited to, reviewing any personal voicemails, email messages, text messages, images, video or other personal information stored on the device. The Company's right of inspection not only allows it to review the contents of the Technology Resources, but also includes the right to obtain and review records maintained by a third-party that supplies services to the Company pertaining to the Technology Resources.

Additionally, information contained in or on the Company's Technology Resources may be subject to disclosure to law enforcement, government agencies or other third parties.

Notwithstanding the Company's right to retrieve and review its Technology Resources, such material should be treated as confidential by other employees and accessed only by the intended recipient. Employees are not authorized to retrieve any voicemail or e-mail messages that are not addressed to them unless given permission by John Lamonica or Robyn Coltin (in-house counsel for the Company).

The Company utilizes passwords on some of its Technology Resources to protect confidential information of the Company and third parties. Employees are prohibited from sharing passwords they are assigned with other employees or third parties. In addition, employees are prohibited from using passwords without prior Company authorization and registration. The existence of a password on the Company's Technology Resources is not intended to indicate that messages or other communications will remain private. Upon management's request, an employee is required to provide any password necessary for the Company to inspect its Technology Resources.

The following uses of the Company's Technology Resources are strictly prohibited (this list is not exhaustive):

- Using the Company's Technology Resources to copy, retrieve, forward or send copyrighted materials unless the employee has the author's permission or is accessing a single copy only for the employee's reference;
- Installing or distributing "pirated" or other software products that are not appropriately licensed for use by the Company;
- Attempting to gain access to another employee's personal computer files or e-mail messages without that employee's express permission;

- Accessing any other user's files, e-mail or other information not for purposes of Company business and without the other user's consent;
- Using, transmitting, changing or deleting another user's files or software without permission;
- Sending, receiving, printing or otherwise disseminating proprietary data, trade secrets, or confidential information of the Company or third parties, in violation of Company policy or proprietary agreements;
- Using the Company's Technology Resources for personal or pecuniary gain;
- Using the Company's Technology Resources to engage in any activity in violation of local, state or federal law, including but not limited to, illegally downloading material from the internet, or to violate any Company policy.
- Introducing destructive software or programs such as computer viruses, Trojan horses, or worms into any computer, computer system or network; and
- Installing unauthorized password protection or encryption on a Company-provided email account or other Technology Resource.

Violations of this policy will be resulting disciplinary action, up to and including termination of employment.

DRIVING ON THE JOB

Many of the following rules reflect the Company's insurance carrier's current requirements. The Company reserves the right to change the following rules at any time.

Initial Clearance to Drive

Upon an employee's hire as a driver, the employee must submit a copy of his or her driver's license and Department of Motor Vehicles driver's report to the Personnel Office.

Reimbursement

The Company will reimburse the driver for one oil change every 6 months and for one vehicle tune-up per year. The driver will be responsible for the monitoring of his own oil change and tune-up. The Company will also reimburse the driver for tire replacement after one year of employment as a driver. The driver must properly maintain his or her tires until then.

Car Insurance

When the Company hires an employee as a driver, the Company will verify that the employee has auto insurance. The driver is required to have at least the level of auto insurance required by state law. All drivers must supply the Company with a copy of insurance documents stating coverage and limits. It is the driver's responsibility to inform the Company if any terms of the auto insurance change. For example, if the driver's auto insurance is cancelled, it is the driver's responsibility to notify his or her supervisor immediately.

The Company has the right to require the driver produce verification of his or her auto insurance at random intervals during employment.

Safety

All vehicles driven by the driver must meet the state's safety requirements. The Company requires drivers to wear seat belts when delivering for the Company. The Company requests the driver inspect his or her tires, lights and brakes prior to using his or her own vehicle for deliveries.

A driver shall not carry passengers in the vehicle or on the vehicle while that driver is making deliveries.

Any driver observed driving in an unsafe manner or driving any unsafe vehicle will be barred immediately from driving duties. A driver with more than two moving violations and one at fault accident in three years will not be allowed to drive. A driver charged with any major citation will be suspended from driving duties until all charges have been dismissed or a judgment is entered in favor of the driver. Major citations are as follows: driving under the influence; driving while impaired; driving in possession of alcohol or drugs; refusal to submit to a blood, alcohol, urine or breath test; driving with a suspended or revoked license; felony in which a vehicle is involved; reckless driving; careless driving; driving over 100 miles per hour; or racing.

EXPENSE REIMBURSEMENT AND TRAVEL

The Company will reimburse employees for reasonable and necessary business-related expenses. To obtain reimbursement, employees must complete an Itemized Business Expense Report which can be obtained from the Human Resources Department and provide receipts. Business expenses should be submitted to Helen Toledo htoledo@lamoicaspizza.com, no later than the end of the month after the expenses are incurred (e.g., an expense incurred in January should be submitted no later than the end of February). The Company will promptly issue reimbursement checks. Please note that payment may be delayed if an employee does not timely submit accurate or complete information for reimbursement. Falsifying Expense Reports is grounds for disciplinary action, up to and including termination of employment. Employees must obtain prior approval from their supervisor for any business expenditures. Any unnecessary and/or excessive expenditures will not be reimbursed by the Company.

Employees with questions about a specific reimbursement should contact Helen Toledo at (310) 208-5535 x 102 or htoledo@lamoicaspizza.com.

Cellular Telephones and Other Electronic Communication Devices

The Company recognizes that certain employees' job duties require the use of telephones and other electronic wireless devices ("EWDs"). The Company will provide notification to an employee when it determines, in its sole discretion, that it is necessary for the employee to use a cellular telephone or EWD for his or her job. Those employees who are required to use a cellular phone or other EWD for business purposes will be given a monthly stipend in the amount of \$20.00. The monthly stipend is provided to reimburse employees for the incidental business use of their cellular phones or other EWD and the portion of the monthly service plans that are utilized performing Company business. If an employee who uses his or her personal cellular phone or other EWD believes that the monthly stipend has not provided adequate reimbursement for the business-related expenses associated with the use of the equipment, either in general or in a particular month, he or she must notify Helen Toledo immediately so that the employee can explain why the stipend was not sufficient and receive full compensation, as appropriate.

Home Internet Use

Full-time, Remote Employees (full time employees who work a minimum of 24 hours a week from home) will be reimbursed 50% of their monthly home internet bill, but no more than \$50 a month. On a monthly basis, full-time, remote employees must submit a copy of their internet bill to Helen

Business Use of a Personal Vehicle (For All Employees Except Westwood Pizza Delivery Drivers)

When employees' job-related responsibilities require the use of their personal vehicles or public transportation, employees will be reimbursed for mileage, parking fees, and/or public transportation fare. An employee may only use his or her personal vehicle for business purposes if the employee maintains at least the minimum amount of vehicle insurance required by law. Mileage costs for use of a personal vehicle will be reimbursed to employees based on the current Internal Revenue Code ("IRS") regulations. Employees using Company leased or owned cars or rental cars paid for by the Company do not receive reimbursement for mileage.

If an employee is attending a meeting out of the office at the beginning of the workday and is traveling directly from his or her home (or is traveling directly to his or her home after having a meeting out of the office at the end of the workday), Lamonica's will reimburse the employee for the mileage between his or her home and the meeting place, less the mileage of the employee's regular commute to Lamonica's. If an employee is attending a meeting out of the office during the workday and is traveling from and returning to Lamonica's, the Company will reimburse him or her for the mileage traveling to and from Lamonica's and the meeting location.

If an employee at any time believes that the current IRS mileage rate is not an accurate reimbursement for the business use of his or her vehicle, the employee must contact Helen Toledo.

Business Use of a Personal Vehicle (Westwood Pizza Delivery Drivers)

Employees who use their personal vehicles to deliver pizzas for the pizzeria located in Westwood, will be reimbursed \$1.25 for each delivery they make.

Business Lunches and Dinners

Business lunches and dinners are meals that are attended by both Company and non-Company personnel and that serve a definite business purpose. The Company will reimburse an employee for the reasonable cost of business lunches and dinners that are pre-approved by a member of the management team. Employees who abuse this policy by incurring extravagant or excessive costs for meals will be subject to disciplinary action.

On occasion, Lamonica's may reimburse employees for meals taken with other Lamonica's employees for events such as new hire lunches, department meetings and the like. Such meals must be pre-approved by a member of the management team.

Travel Time

All domestic and international travel time (e.g., time spent traveling from Los Angeles to Sacramento) for business purposes will be paid at minimum wage (currently \$10.50) an hour.

All employees who travel for business purposes MUST fill out a travel log, which can be obtained from Human Resources. Travel logs should be turned into Human Resources first thing Monday morning for any time spent traveling the prior week.

Out-Of-Town Travel Expenses

Lamonica's will pay for reasonable business travel expenses an employee incurs while traveling out-of-town for a business purpose. All business travel must be approved in advance by a member of the management team. Travel expenses that generally will be reimbursed include the following:

1. Airfare

Employees must fly coach class unless prior approval is given by a member of the management team to fly business class. When practicable, employees should make their travel arrangements at least two (2) weeks in advance to take advantage of lower prices offered for advance reservations. Employees are expected to book the lowest available fare that meets their business needs. Employees may retain frequent flyer program benefits, provided that the participation in the program does not result in a higher airfare. Lamonica's will reimburse employees for the cost of checking one piece of personal luggage unless the employee obtains prior approval for reimbursement for additional luggage.

2. Hotel

Employees should use good judgment in reserving lodging that is reasonably priced. Any incidental expenses incurred at the hotel must have a business connection in order to be reimbursed. For example, rental movies, alcohol, spa visits, and mini-bar expenses will not be reimbursed. Employees must keep the actual receipt(s) for any meals consumed at the hotel and charged to the room. Laundry expenses will be reimbursed only when the employee is required to stay for five or more nights on a single trip. Employees may retain any hotel reward program benefits, provided that the participation in the program does not result in a higher hotel cost.

Lamonica's has worked out business rates at the following hotels. Accordingly, when traveling to Los Angeles, Sacramento or Brooklyn, these hotels should be consulted first for availability.

Sacramento:

Holiday Inn Express & Suites
9175 West Stockton Blvd.
Elk Grove CA, 95758
Attn: Tiffany Kintanar
(916) 478-9000 ext. 3103

Los Angeles:

Quality Inn & Suites
7330 Eastern Avenue
Bell Gardens, CA, US, 90201
(562) 928-3452

Brooklyn:

Hilton Garden Inn NYC Financial Center/Manhattan Downtown
6 Water St,
Brooklyn, NY 10004
(212) 248-1100

3. Transportation in Visited City

a. Employees Traveling to Sacramento

Any employee who travels to the Sacramento factory by plane must contact the Sacramento factory in advance to arrange for a Sacramento employee to pick him or her up from the airport. Only if no Sacramento employee is available for an airport pick up shall the visiting employee take a taxi or rent a car.

The Sacramento factory has a car available for visitors to use. If the car is available, the visiting employee shall use that car for all transportation while in Sacramento. If the car is unavailable, then the employee may choose to take a taxi or rent a car, as needed (whichever is more economical considering factors such as length of stay).

b. Employees Traveling to Brooklyn, New York

Any employee who travels to the Brooklyn, New York factory shall utilize the New York mass transit system, e.g., subway, bus or Ferry, to and from the factory. Only in extraordinary circumstances or if prior approval is granted by a member of management, will the Company reimburse an employee for Taxi. Uber or Lyft rides to and from the employee's hotel and the Brooklyn factory will not be reimbursed.

c. Taxi

Notwithstanding sections (a) and (b) above, Taxi expenses incurred for business purposes will be reimbursed, such as taking a taxi to dinner when the restaurant is a reasonable distance. Employees should choose a hotel within close distance to the factory the employee is visiting or to where business meetings will take place in order to avoid the need for lengthy car rides. Lamonica's will reimburse employees for the reasonable costs for transportation to and from the airport.

d. Car Rental

Employees may rent any vehicle that costs the regular price of a mid-sized rental car, unless business dictates a need for something else. Employees must obtain all types of insurance offered for the rental car. Employees may retain any car rental reward program benefits, provided that the participation in the program does not result in a higher rental cost.

Meals and Incidental Expenses

Employees will be reimbursed for travel-related meal expenses at a per diem rate set by the Company.

Reimbursable Travel-Related Meals

Travel-related meal expenses will be reimbursed at the applicable per diem rate for in-state and out-of-state overnight travel that is 45 miles or more from the traveler's home or primary worksite.

Travel-related meal expenses will be reimbursed at 50% of the applicable per diem rate for "Extended Day Travel." Extended Day Travel is travel that is 45 miles or more from the traveler's home or primary worksite, at least 12 hours and does not require an overnight stay.

Travelers will not receive reimbursement for any meal when travel is less than 12 hours.

Documentation

Per diem rates vary based on the traveler’s destination city. Receipts are not required for reimbursement of travel meals using per diem rates. However, when preparing the traveler’s Itemized Business Expense Report, the traveler must fill in the appropriate per diem amount owed/paid under the section for Meal Expenses.

Covered Expenses

The Meal and Incidentals per diem rates cover the following expenses:

- Meals, including non-alcoholic drinks, taxes and tips.
- Incidentals, including baggage fees, baggage carrier fees, bellhops, hotel maids, bank fees, check cashing fees, ATM fees, and the like.

A traveler will not be reimbursed for travel-related meals and incidental expenses exceeding the per diem rate for the traveler’s destination city, unless specifically stated otherwise in this Policy, e.g., laundry expenses will be reimbursed in certain circumstances described in this Policy.

First and Last Day of Travel

First and last days of travel (departure and return days) will be reimbursed at 75% of the applicable per diem rate.

- Departure day- the day you leave your home or office.
- Return day- the day you return to your home or office.

Free Meals and Legitimate Business Meals

If a meal is included with a conference/training paid for by the Company, provided free of charge on a plane, built into the standard, single hotel room rate or replaced by a legitimate business meal (“free meal”), the per diem rate paid for the day the free meal was provided will be paid at 75% of the applicable per diem rate. If the free meal is provided on the first or last day of travel, then the employee will be reimbursed at 50% of the applicable per diem rate for that day.

Company Per Diem Rates

The following are the per diem rates for the most commonly traveled designation cities and countries by Company employees. In the event you are required to travel to a city or country not listed, please contact Human Resources to discuss an appropriate per diem rate:

Los Angeles	\$69.00
Sacramento	\$69.00
Brooklyn	\$70.00
Las Vegas	\$50.00
Italy	\$70.00

Administrative and Human Resources staff are available to help make employees’ travel arrangements. However, the employee who is traveling is responsible for obtaining final approval for the travel itinerary from his or her direct supervisor. If an employee believes the circumstances of a particular trip require a departure from any of the foregoing rules, he or she should obtain approval from a member of the management team.

The Company credit card is the preferred method of payment for airfare, hotel expenses and car rentals. For all business expenses not paid for on the Company's credit card, the employee should fill out and turn in an Itemized Business Expense Report in the manner described above.

Payment of Travel Time for Non-Exempt Employees

Lamonica's will pay non-exempt employees for time spent traveling out-of-town in the course and scope of their employment in compliance with state and federal law. Travel time for non-exempt employees will be paid at the applicable minimum wage.

Exempt employees are not entitled to additional compensation for time spent traveling.

If a non-exempt employee travels from the office/factory to an out-of-town location, the employee will be paid for all travel time between the locations. However, if the employee travels from his or her residence to the out-of-town location, the employee will be paid for all travel time that is in excess of his or her normal commute time (and the employee will be paid travel time for the same route home). For example, if the employee is traveling from his or her residence to the airport for a flight, and the travel time to the airport is the same or substantially the same as the time it takes the employee to commute to work, the travel time will not begin until the employee reaches the airport.

If a non-exempt employee is traveling out-of-town overnight, Lamonica's will not pay travel time after the employee has checked into the hotel and is able to engage in purely personal pursuits. The employee will be paid for any travel between the hotel and the out-of-town office/factory where he or she will be conducting business. When the employee is traveling back home, Lamonica's will pay travel time from when the employee begins the process of checking out of the hotel until the employee reaches his or her residence (less normal commute time) or until the employee reaches the office/factory, whichever is applicable.

All non-exempt employees must follow the Lamonica's Meal and Rest Period Policy while traveling. Lamonica's will not pay a non-exempt employee for any meal periods taken while traveling if he or she is relieved of all duties. In addition, non-exempt employees must record on their timesheets all time spent traveling or performing work. For example, if the employee performs work in a hotel room, such time must be recorded.

Non-exempt employees who have any questions regarding travel time compensation should contact the Human Resources Department.

Any violation of this Expense Reimbursement and Travel Policy, including but not limited to falsifying Expense Reports to reflect costs not incurred by the employee, is grounds for disciplinary action, up to and including termination of employment.

COMPANY PROPERTY, PERSONAL PROPERTY AND STORAGE

Employees are expected to keep all work areas, rest rooms and break areas clean. Lockers, desks, tools, and equipment are Company property and must be maintained according to Company rules and regulations. In some locations, the Company provides lockers and desks for use of its employees. Employees should remember that all lockers and desks remain the property of the Company. The Company reserves the right to inspect lockers and desks, as well as any contents, effects, or articles that are in the lockers or desks. Such an inspection may occur at any time. You will be notified of an inspection and may be present during the inspection. In the event

you are unavailable for, or choose to not be present during the inspection, a minimum of two company employees will be present during the inspection. Lockers will be scheduled to be inspected two (2) times per year by any manager designated by the Company.

INFECTIOUS DISEASE CONTROL

Purpose

Lamonica's will take proactive steps to protect the workplace in the event of an infectious disease outbreak. It is the goal of Lamonica's during any such time period to strive to operate effectively and ensure that all essential services are continuously provided and that employees are safe within the workplace.

Lamonica's is committed to providing authoritative information about the nature and spread of infectious diseases, including symptoms and signs to watch for, as well as required steps to be taken in the event of an illness or outbreak.

Preventing the Spread of Infection in the Workplace

Lamonica's will ensure a clean workplace, including the regular cleaning of objects and areas that are frequently used, such as bathrooms, breakrooms, conference rooms, door handles and electronic devices. A committee will be designated to monitor and coordinate events around an infectious disease outbreak, as well as to create work rules that could be implemented to promote safety through infection control.

We ask all employees to cooperate in taking steps to reduce the transmission of infectious disease in the workplace. The best strategy remains the most obvious—frequent hand washing with warm, soapy water; covering your mouth whenever you sneeze or cough; and discarding used tissues in wastebaskets. We will also install alcohol-based hand sanitizers throughout the workplace and in common areas. We will also, when necessary, require all employees and visitors to wear face coverings consistent with Center for Disease Control (CDC) and state and local government recommendations.

Unless otherwise notified, our normal attendance and leave policies will remain in place. In the event attendance and/or leave policies are modified, the Company will send out communication regarding the modifications. Individuals who believe they may face particular challenges reporting to work during an infectious disease outbreak should take steps to develop any necessary contingency plans. For example, employees might want to arrange for alternative sources of childcare should schools close and/or speak with supervisors about the potential to work from home temporarily or on an alternative work schedule.

Limiting Travel

During an infectious disease outbreak, all nonessential travel (domestic and international) should be avoided until further notice. Employees who travel as an essential part of their job should consult with management on appropriate actions. Business-related travel outside the United States will not be authorized until further notice. Employees should avoid crowded public transportation when possible. Alternative scheduling options, ride-share resources and/or parking assistance will be provided on a case-by-case basis. Contact human resources for more information.

Telecommuting

Telework requests will be handled on a case-by-case basis. While not all positions will be eligible, all requests for temporary telecommuting should be submitted to your manager for consideration.

Staying Home When Ill

Many times, with the best of intentions, employees report to work even though they feel ill. We provide paid sick time and other benefits to compensate employees who are unable to work due to illness as described more fully herein this Employee Handbook.

During an infectious disease outbreak, it is critical that employees do not report to work while they are ill and/or experiencing the following symptoms which include, but are not limited to, vomiting, fever, cough, sore throat, runny or stuffy nose, body aches, headache, chills and fatigue. Currently, the Centers for Disease Control and Prevention recommends that people with an infectious illness such as the flu remain at home until at least 24 hours after they are free of fever (100 degrees F or 37.8 degrees C) or signs of a fever without the use of fever-reducing medications. Employees who report to work ill will be sent home in accordance with these health guidelines.

Staying Home When Exposed to Infectious Disease

If you are living with or have otherwise been in close contact with someone who has tested positive for or is believed, by a medical professional, to be infected with an infectious disease, then you may not come to work. You should immediately contact human resources to discuss when it is safe for you to come back to work.

Requests for Medical Information and/or Documentation

If you are out sick or show symptoms of being ill, it may become necessary to request information from you and/or your health care provider. In general, we would request medical information to confirm your need to be absent, to show whether and how an absence relates to the infection, and to know that it is appropriate for you to return to work. As always, we expect and appreciate your cooperation if and when medical information is sought.

Confidentiality of Medical Information

Our policy is to treat any medical information as a confidential medical record. In furtherance of this policy, any disclosure of medical information is in limited circumstances with supervisors, managers, first aid and safety personnel, and government officials as required by law.

Social Distancing Guidelines for Workplace Infectious Disease Outbreaks

In the event of an infectious disease outbreak, Lamonica's may implement these social distancing guidelines to minimize the spread of the disease among the staff.

During the workday, employees are requested to:

1. Avoid meeting people face-to-face. Employees are encouraged to use the telephone, online conferencing, e-mail or instant messaging to conduct business as much as possible, even when participants are in the same building.

2. If a face-to-face meeting is unavoidable, minimize the meeting time, choose a large meeting room or meet outside and sit at least six feet from each other if possible; avoid person-to-person contact such as shaking hands.
3. Avoid any unnecessary travel and cancel or postpone nonessential meetings, gatherings, workshops and training sessions.
4. Do not congregate in break rooms/areas, kitchen areas, lunchrooms, or other areas where people socialize.
5. Bring lunch from home and eat at your desk, in your car, or otherwise away from others (avoid lunchrooms and crowded restaurants).
6. Encourage vendors and others to request information and orders via phone and e-mail in order to minimize person-to-person contact. Have the orders, materials and information ready for fast pick-up or delivery.

Outside activities

Employees might be encouraged to the extent possible to:

1. Avoid public transportation (walk, cycle, drive a car) or go early or late to avoid rush-hour crowding on public transportation.
2. Avoid recreational or other leisure classes, meetings, activities, etc., where employees might come into contact with contagious people.

ACKNOWLEDGMENT OF RECEIPT

Employee Name: _____

PLEASE READ THE EMPLOYEE HANDBOOK WITHIN ONE WEEK OF RECEIPT, SIGN AND DATE THIS PAGE, AND RETURN THIS PAGE TO THE PERSONNEL OFFICE.

I acknowledge that I have received a copy of the Company's Employee Handbook. I understand that I am responsible for knowing and adhering to the policies set forth in the Handbook during my employment with the Company. If I speak a language other than English as my primary language, this Handbook has been translated into that language and I have received a translated copy of the Handbook.

I understand that the policies contained in the Handbook are not intended to create any contractual rights or obligations, with the exception of the Company's at-will employment policies. I further understand that the Company reserves the right to amend, interpret, modify, or withdraw any portion of this Handbook at any time. I understand and agree that if the terms of this Acknowledgment are inconsistent with any policy or practice of the Company now or in the future, the terms of this Acknowledgment shall control.

I further understand and agree that my relationship with the Company is "at will," which means that my employment is for no definite period and may be terminated by me or by the Company at any time and for any reason with or without cause or advance notice. I also understand that the Company may demote or discipline me or alter the terms of my employment at any time at its discretion, with or without cause or advance notice. I

Employee Handbook 2024

understand that no policy, statement, conduct, or action on the part of the Company or any Company personnel may alter or waive the at-will nature of my employment at any time or under any circumstances.

I understand that in the absence of a writing signed by me and by President John Lamonica which expressly provides for employment for a specified term, no policy, practice, procedure, statement, or action of the Company or any individual at the Company may alter, modify, or waive the at-will nature of employment with the Company in any way or at any time.

Finally, I agree that this Acknowledgment contains a full and complete statement of the agreements and understandings that it recites, and I agree that this Acknowledgment supersedes all previous agreements, whether written or oral, express or implied, relating to the subjects covered in this Acknowledgment. Should any provisions in this Acknowledgment be declared or be determined to be illegal or invalid, all remaining parts, terms or provisions shall be valid, and the illegal or invalid part, term or provision shall be deemed not to be a part of this Acknowledgment.

DATE: _____

EMPLOYEE SIGNATURE: _____